The Private Equity Handbook

PE Hero (pehero.fyi)

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A practical guide for financial professionals and business owners — with Baltic case studies

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Table of Contents

Part I: Private Equity Fundamentals

Chapter 1: Why Private Equity?

The Growth of an Asset Class

Private equity has grown from a niche corner of finance into one of the most significant forces in the global economy. Global PE assets under management surpassed $8 trillion in 2024, up from under $1 trillion in 2000. In the United States, PE-backed companies now employ more than 12 million workers — more than the entire manufacturing sector. In Europe and the UK, the pattern has followed with a decade's lag: European PE fundraising exceeded €130 billion in 2023, with the UK, Nordics, and DACH regions leading deal activity.

This growth is not accidental. PE has consistently outperformed public equities over 10-, 15-, and 20-year horizons, delivering a median net IRR premium of 300–500 basis points over public market equivalents. For institutional investors — pension funds, endowments, sovereign wealth funds — this performance gap represents billions in additional returns for their beneficiaries.

Why PE Has Won: The Structural Advantages

Alignment of incentives. In public companies, management's interests often diverge from shareholders'. CEO compensation may reward short-term earnings, share buybacks, or empire-building through overpriced acquisitions. In PE, the management team co-invests alongside the fund, receives equity that vests over the hold period, and earns outsized rewards only if the business genuinely increases in value. The GP itself typically invests 1–5% of the fund — meaningful personal capital — and earns carry only above an 8% hurdle. Everyone eats what they kill.

Long-term focus without quarterly pressure. Public company CEOs spend an estimated 20–30% of their time on investor relations, quarterly earnings calls, and managing analyst expectations. This creates a systemic bias toward short-term decisions: cutting R&D to hit a quarterly number, deferring necessary restructuring, or avoiding investments with a 3-year payback. PE-owned companies operate on a 3–7 year plan. If a factory needs to shut down for six months to retool, or a sales team needs to be rebuilt from scratch, the PE owner can absorb the short-term pain because no one is watching the quarterly EPS.

Active ownership. PE funds don't just provide capital — they provide governance, operational expertise, strategic direction, and a network of relationships. Board meetings are substantive, not ceremonial. Underperforming managers are replaced quickly. Procurement is professionalised. Reporting is upgraded from annual accounts to monthly KPI dashboards. This intensity of ownership is what creates value.

Liquidity for founders and families. For millions of business owners, private equity provides something no other buyer can: a structured path to partial or full liquidity while preserving the company's identity and often retaining the founder in a leadership role. This is particularly relevant in the current generational transition, as the baby boomer generation — which built businesses across Europe and North America from the 1970s through the 2000s — approaches retirement.

Why Business Owners Sell to PE

If you are a business owner considering a sale, understanding the motivations of sellers is as important as understanding the mechanics of PE. The most common reasons:

Succession planning. You built the business over 20–30 years, but your children are not interested in running it, or are not ready. A PE fund provides professional management continuity, protects employees' livelihoods, and preserves the brand you built — while giving you a fair price for your life's work.

Growth capital without giving up control. Growth equity funds (like Curonia Capital in the Baltics) take minority stakes, providing capital for expansion, acquisitions, or technology investment while the founder retains majority ownership and operational control. This is not a sale — it is a partnership.

Professionalisation. Many founder-led businesses reach a ceiling: the founder is the sales team, the strategist, the HR department, and the CFO. PE brings professional management (a real CFO, a commercial director, a board), systems (ERP, CRM, financial reporting), and governance that allows the business to scale beyond what one person can manage.

Diversification of personal wealth. A business owner with 90% of their net worth in a single illiquid asset faces concentrated risk. A PE transaction — even a partial sale — allows diversification into liquid, diversified investments while retaining upside in the business.

Access to a platform. In a buy-and-build strategy, selling to PE means joining a larger platform with shared resources, cross-selling opportunities, and combined purchasing power. A €5M-revenue company that joins a €50M platform gets access to enterprise customers, international markets, and operational capabilities it could never build alone.

Competitive pressure. In fragmented industries, consolidation is inevitable. Business owners who wait too long may find that their competitors have already sold to PE-backed platforms, gaining scale advantages that make independent operation increasingly difficult. Selling on your own terms — when the business is performing well and you have negotiating leverage — is almost always better than waiting until you are forced to.

Why PE Adds Value: The Liquidity Argument

At the most fundamental level, PE creates value by providing liquidity where none existed. Consider the economics:

A private company with €5M EBITDA might trade at 4–5× in a direct sale to a local competitor — if a buyer can even be found. The same company, acquired by a PE fund and professionalised, integrated into a platform, and grown to €8M EBITDA, might exit at 7–8× to a Nordic strategic buyer or a larger PE fund. The PE fund didn't just improve the business — it connected it to a deeper, more efficient capital market.

This "liquidity premium" is one of PE's most underappreciated contributions. By aggregating small, illiquid businesses into larger, professionally managed platforms, PE creates entities that are attractive to a broader set of buyers — including international strategics, public companies, and larger PE funds — who would never consider acquiring a €5M-revenue founder-led business directly.

The US and European PE Markets Compared

Dimension	United States	Europe / UK
AUM	~$5T	~$2.5T
Market maturity	Established since 1980s	Rapid growth since 2000s
Deal flow	Deep, competitive, higher multiples	Broader range of entry multiples
Leverage availability	Highly developed private credit	Growing, but bank-dependent

Regulatory environment	Light-touch, LLC/LP friendly	Varies by jurisdiction (AIFMD, national rules)
Generational transition	Ongoing, largely addressed	Accelerating — peak founder retirement wave
Mid-market opportunity	Heavily intermediated	Significant proprietary deal flow
AI/digital transformation	Advanced adoption	Earlier stage — more upside

For financial professionals and business owners in Europe — and particularly in emerging PE markets like the Baltics — the opportunity is clear: the same playbook that created trillions in value in the US is now being deployed in markets where entry valuations are lower, competition is thinner, and the generational transition is creating unprecedented deal flow.

Chapter 2: What Is Private Equity?

Definition

Private equity (PE) is a form of alternative investment in which capital is pooled from institutional investors and high-net-worth individuals to acquire equity ownership in companies that are not publicly traded — or to take public companies private. Unlike public market investing, PE involves active ownership: the fund doesn't just buy shares and wait; it takes control of the business and works to make it more valuable.

How PE Differs from Other Asset Classes

Feature	Public Equities	Venture Capital	Private Equity
Stage	Any	Early / growth	Mature / growth
Control	Minority	Minority (usually)	Majority (usually)
Leverage	Rarely	Never	Often
Holding period	Days to years	5–10 years	3–7 years
Value creation	Passive	Guidance + capital	Active operational improvement
Cash flow profile	Dividends	Burn rate	Positive / improving

The Core PE Value Proposition

PE funds generate returns through three levers:

1. **Revenue growth** — expanding the top line through organic initiatives (new products, markets, pricing) or acquisitions (buy-and-build).
2. **Margin expansion** — improving operational efficiency, reducing costs, professionalising management, and optimising working capital.
3. **Multiple expansion** — buying at a lower valuation multiple and selling at a higher one, often by repositioning the company as a larger, more diversified, or faster-growing platform.

The combination of these three levers, amplified by financial leverage, is what allows PE to target returns of 2–3× invested capital (a "2–3× MOIC") over a 3–7 year hold period, corresponding to net IRRs of 15–25%.

Types of Private Equity

- **Buyout** — acquiring a controlling stake in a mature, cash-generating business. The largest segment of PE globally.
- **Growth equity** — minority or majority investment in a profitable, growing business that needs capital for expansion but not a full change of control.
- **Distressed / turnaround** — acquiring companies in financial difficulty at steep discounts, restructuring operations and balance sheets.
- **Secondaries** — purchasing existing PE fund stakes from other LPs, providing liquidity in an illiquid asset class.

- **Fund of funds** — investing in a diversified portfolio of PE funds rather than directly in companies.

Chapter 3: Fund Structure & Economics

The Limited Partnership Model

Nearly all PE funds are structured as limited partnerships:

- **General Partner (GP)** — the fund manager. Makes investment decisions, manages portfolio companies, and has unlimited liability. The GP is typically a small team of investment professionals organised as a management company.
- **Limited Partners (LPs)** — the investors. Pension funds, endowments, sovereign wealth funds, family offices, and insurance companies. They commit capital but have no role in investment decisions and limited liability.

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│              PE Fund (LP)               │
│                                         │
│  ┌──────────┐       ┌───────────────┐   │
│  │    GP    │       │      LPs      │ │
│  │ (manages)│       │   (capital)   │ │
│  └────┬─────┘       └───────┬───────┘   │
│       │                     │           │
│       │   Management Fee    │           │
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│  │       Portfolio Companies        │   │
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Fee Structure

Management fee — typically 1.5–2.0% of committed capital during the investment period, stepping down to 1.5–2.0% of invested capital after the investment period ends. This fee covers salaries, office costs, deal sourcing, and fund operations.

Carried interest (“carry”) — the GP’s share of profits, typically 20% of gains above a preferred return (hurdle rate) of 8%. This is the primary incentive that aligns the GP’s interests with LPs.

Example:

A €100M fund generates a total of €250M in distributions:

Component	Amount
Return of capital	€100M
Preferred return (8% annually, ~5 years)	~€47M
Remaining profit	€103M
GP carry (20% of €103M)	€20.6M
LP share (80% of €103M)	€82.4M

GP commitment — the GP typically commits 1–5% of the fund's capital alongside LPs, ensuring skin in the game.

Fund Terms

- **Fund life** — 10 years, with two optional 1-year extensions. The first 5 years are the "investment period" (deploying capital); the remaining years are the "harvesting period" (managing and exiting).
- **Capital calls (drawdowns)** — LPs don't transfer all committed capital upfront. The GP "calls" capital as deals close, typically over 3–5 years.
- **Distributions** — as portfolio companies are exited, proceeds flow back to LPs (after fees and carry).
- **Clawback** — if early exits generate carry but later exits underperform, the GP must return excess carry to LPs.

Worked Example: Fund-Level Economics

Consider **Baltic Growth Fund II**, a hypothetical €100M mid-market buyout fund:

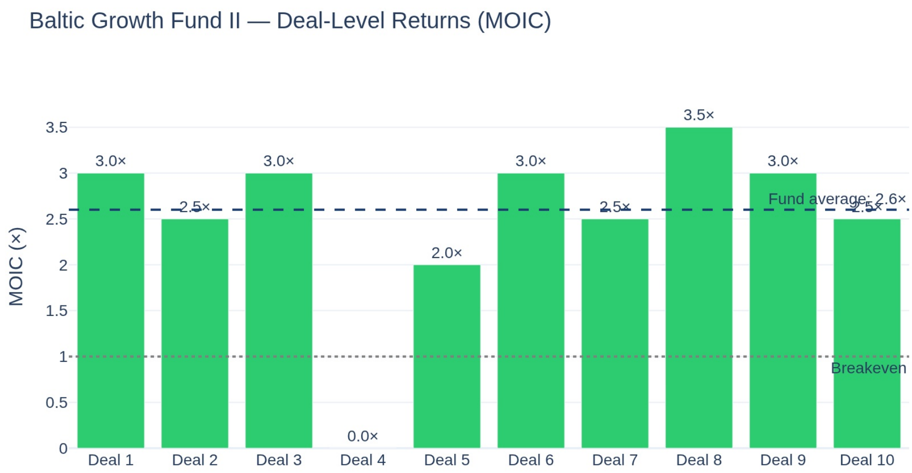
Fee economics over the 10-year fund life:

Year	Capital called (cumulative)	Management fee basis	Fee (1.75%)
1	€15M	€100M (committed)	€1.75M
2	€35M	€100M	€1.75M
3	€60M	€100M	€1.75M
4	€85M	€100M	€1.75M
5	€100M	€100M	€1.75M
6	—	€80M (invested, step-down)	€1.40M
7	—	€60M	€1.05M
8	—	€40M	€0.70M
9	—	€20M	€0.35M
10	—	€10M	€0.18M
Total fees			**€12.43M**

Portfolio returns:

Deal	Equity in	Year	Equity out	Year	MOIC	Gross IRR
Deal 1	€12M	1	€36M	4	3.0×	44%
Deal 2	€10M	1	€25M	5	2.5×	25%
Deal 3	€15M	2	€45M	6	3.0×	32%
Deal 4	€8M	2	€0M	5	0.0×	-100%
Deal 5	€12M	3	€24M	7	2.0×	19%
Deal 6	€10M	3	€30M	7	3.0×	32%
Deal 7	€8M	4	[illegible]	8	2.5×	26%

Deal 7	€8M	4	€20M	8	2.5×	26%
Deal 8	€10M	4	€35M	9	3.5×	28%
Deal 9	€7M	5	€21M	9	3.0×	32%
Deal 10	€6M	5	€15M	10	2.5×	21%
Totals	**€98M**		**€251M**		**2.6×**	



Fund Portfolio Returns

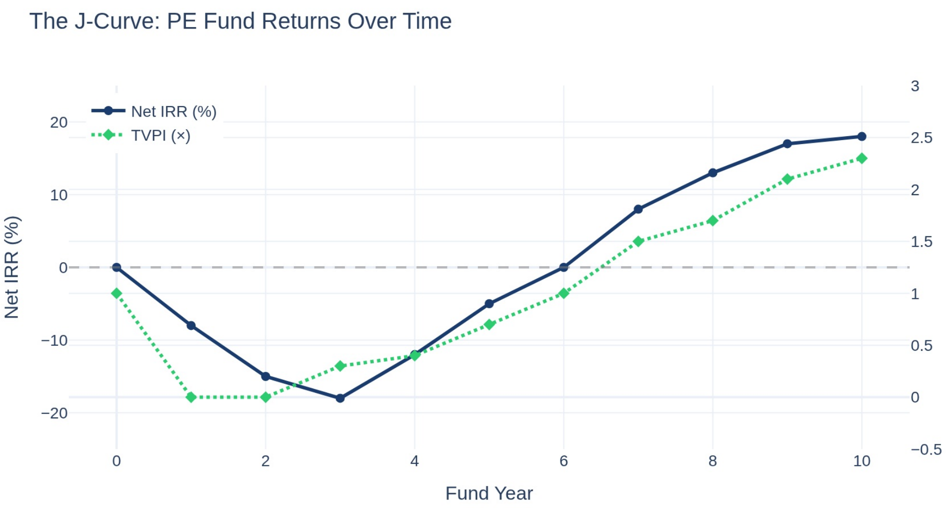
Note: Deal 4 was a total loss — this is realistic. Even top-quartile funds lose money on 10–20% of their deals. Fund-level returns survive because winners more than compensate.

Fund-level waterfall (European/whole-fund model):

Component	Amount	Recipient
Return of all invested capital	€98.0M	LPs
Return of management fees	€12.4M	LPs
Preferred return (8% compound on drawn capital)	€38.6M	LPs
Sub-total to LPs before carry	**€149.0M**	**LPs**
GP catch-up (20/80 split until GP has 20% of total profit)	€4.1M	GP
Remaining profit (80% LP / 20% GP)	€97.9M	Split
LP share of remaining	€78.3M	LPs
GP carry from remaining	€19.6M	GP
Total LP distributions	**€227.3M**	
Total GP carry	**€23.7M**	
Net TVPI to LPs	**2.27×**	
Net IRR to LPs	**~18%**	

The GP earns €23.7M in carry plus €12.4M in management fees = €36.1M total over 10 years. On their €2M GP commitment (2% of fund), they receive €5.1M back — a 2.6× return. But the real GP compensation comes from carry, not from co-investment returns.

J-Curve



J Curve

PE fund returns follow a characteristic "J-curve": negative returns in early years (management fees + unrealised investments at cost) that swing positive as portfolio companies mature and are exited.

Worked Example: Baltic Growth Fund II J-Curve

Year	Capital called	Distributions	Cumulative net	TVPI	IRR
1	€27M	€0M	-€28.8M	0.0×	n/a
2	€33M	€0M	-€63.5M	0.0×	n/a
3	€24M	€0M	-€89.3M	0.3×	-50%
4	€16M	€36M	-€71.0M	0.4×	-30%
5	€0M	€25M	-€47.8M	0.7×	-12%
6	€0M	€45M	-€4.2M	1.0×	0%
7	€0M	€54M	+€48.8M	1.5×	11%
8	€0M	€20M	+€68.1M	1.7×	13%
9	€0M	€56M	+€123.4M	2.1×	17%
10	€0M	€15M	+€138.0M	2.3×	18%

The fund is underwater for the first 5 years and only breaks even in Year 6. This is normal and expected — but it means LPs must have a long time horizon and cannot treat PE as a source of near-term liquidity.

Chapter 4: The PE Fund Lifecycle

Phase 1: Fundraising (6–18 months)

The GP raises capital from LPs by presenting:

- **Track record** — past fund performance (DPI, TVPI, net IRR)
- **Investment thesis** — sector focus, geography, deal size, value creation playbook
- **Team** — investment professionals, operating partners, advisors
- **Terms** — management fee, carry, fund size, governance

Key metrics LPs evaluate:

Metric	Definition	Strong performance
Net IRR	Annualised return after fees	>20%
TVPI	Total Value to Paid-In capital	>2.0×
DPI	Distributions to Paid-In capital	>1.0× (fully returned)
Loss ratio	% of deals that lose money	<15%

Phase 2: Investment Period (Years 1–5)

The GP deploys capital across 8–15 platform investments. Each deal follows a disciplined process:

1. **Sourcing** — proprietary deal flow, intermediaries, auctions
2. **Screening** — initial assessment against investment criteria
3. **Deep-dive** — financial modelling, management meetings, site visits
4. **Due diligence** — commercial, financial, legal, tax, environmental, IT
5. **Investment committee** — internal approval with a formal investment memo
6. **Negotiation & closing** — price, structure, governance, management incentives

Phase 3: Value Creation (Years 2–6)

Active ownership through the “100-day plan” and ongoing board engagement:

- Strategic repositioning
- Management upgrades
- Operational improvements (procurement, pricing, working capital)
- Add-on acquisitions (buy-and-build)
- Digital transformation
- Geographic expansion
- ESG integration

Phase 4: Exit (Years 3–7)

The GP realises returns through:

- **Trade sale** — selling to a strategic buyer (most common, ~50% of exits)
- **Secondary buyout** — selling to another PE fund (~30% of exits)
- **IPO** — listing on a public exchange (~10% of exits)

- **Recapitalisation** — refinancing to return capital while retaining ownership
- **Management buyout** — selling to the company's own management team

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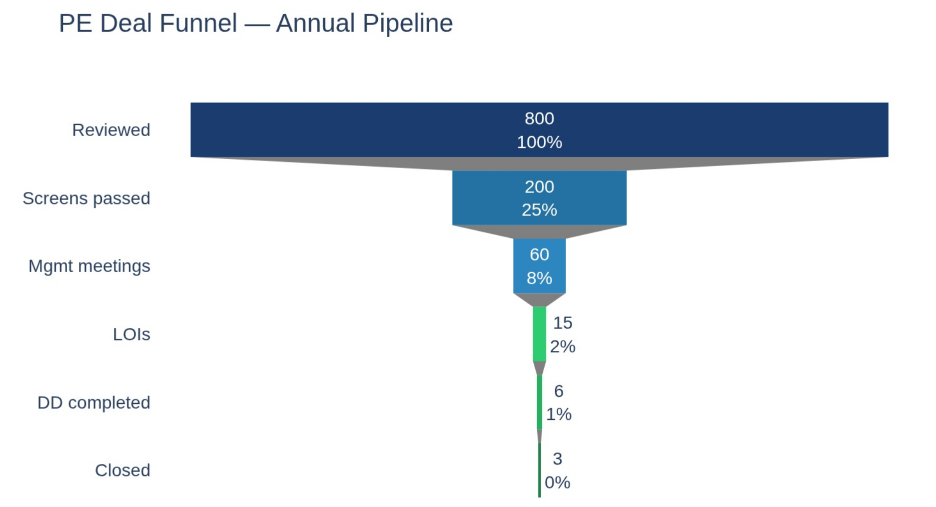
Chapter 5: Deal Sourcing & Origination

The Funnel



Deal Funnel

A typical mid-market PE fund reviews 500–1,000 opportunities per year and invests in 2–4. The funnel narrows dramatically at each stage:

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Opportunities reviewed:     ~800
Initial screens passed:     ~200
Management meetings:         ~60
LOIs submitted:              ~15
Due diligence completed:      ~6
Deals closed:                 ~3
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Sourcing Channels

Proprietary / direct — the most valued source. The GP builds relationships with business owners, entrepreneurs, and management teams years before a deal materialises. Higher-quality because there is no competitive auction pressure.

Intermediated — investment banks, M&A advisors, and brokers run structured sale processes. More competitive, but provides access to a broader universe of deals.

Thematic — the GP identifies a sector thesis (e.g., “Baltic logistics consolidation” or “healthcare digitalisation”) and proactively maps the universe of potential targets, approaching owners directly.

What Makes a Good PE Target?

- **Defensible market position** — #1 or #2 in a niche, with barriers to entry
- **Recurring or predictable revenue** — contract-based, subscription, or repeat-purchase businesses

- **Margin expansion potential** — room to improve pricing, reduce costs, or scale operations
- **Strong management** — or a clear path to professionalise the team
- **Multiple exit routes** — trade buyers, larger PE funds, and IPO are all plausible
- **Reasonable valuation** — entry multiple that allows for attractive returns even in a downside case

Baltic Deal Sourcing: A Market Map

The Baltic mid-market is rich with PE targets, particularly in sectors undergoing generational transition and digital transformation:

Sector	# of targets (est.)	Typical revenue	Typical EBITDA margin	Deal activity
Healthcare (clinics, dental, pharma)	50–80	€3–30M	15–25%	High — Livonia, BaltCap active
Business services (IT, consulting, BPO)	100–150	€2–20M	12–20%	High — fragmented, buy-and-build
Manufacturing (food, wood, electronics)	80–120	€5–50M	8–15%	Medium — capex-heavy, ESG focus
Logistics & transport	60–80	€5–40M	6–12%	High — consolidation play
Financial services	30–50	€3–25M	20–40%	Medium — regulatory barriers
Technology & SaaS	40–60	€1–15M	15–35%	High — Karma, VC, growth equity
Education & training	20–30	€2–10M	15–25%	Emerging — Curonia thesis
Real estate services	30–50	€3–20M	10–20%	Medium — cyclical

Why Baltic founders sell:

A 2024 survey of Baltic business owners (adapted from Invest Europe / EVCA data) reveals:

Motivation	% of sellers citing
Succession / retirement	42%
Growth capital needed	28%
Wealth diversification	15%
Strategic partner needed	10%
Competitive pressure / consolidation	5%

The dominant motivation — succession — reflects the generational transition that makes the Baltics such a compelling PE market today. These are not distressed sellers; they are successful entrepreneurs seeking a responsible transition.

Worked Example: Thematic Sourcing — Baltic Healthcare Roll-Up

A GP with a healthcare thesis might build a market map as follows:

Step 1: Define the universe - All private healthcare providers in Estonia, Latvia, Lithuania - Revenue €2–30M, EBITDA-positive, founder-owned - Specialities: dental, diagnostic imaging, rehabilitation, outpatient clinics

Step 2: Screen and prioritise (80 targets identified) - Tier 1 (approach now): 12 companies — strong market position, founder age >55, clear growth pathway - Tier 2 (monitor): 25 companies — smaller but interesting for bolt-on - Tier 3 (too early): 43 companies — too small, too young, or not ready to sell

Step 3: Proprietary approach - Attend Baltic healthcare conferences - Leverage GP's healthcare operating partner to build relationships - Engage local M&A advisors in each country for warm introductions - Timeline: 6–18 months of relationship-building before any offer

This thematic approach yields proprietary deal flow at lower entry multiples than auction processes — typically 1–2× EBITDA cheaper.

Chapter 6: Investment Analysis & Valuation

Valuation Methodologies

1. Comparable Company Analysis ("Trading Comps")

Values a target by reference to publicly traded companies in the same sector. Key multiples:

- **EV/EBITDA** — the most common PE metric. Enterprise value divided by EBITDA. Mid-market European businesses typically trade at 6–10× EBITDA; software companies at 15–30×.
- **EV/Revenue** — used for high-growth or loss-making companies where EBITDA is negative or distorted.
- **P/E** — price-to-earnings, more common in public markets.

2. Precedent Transaction Analysis ("Transaction Comps")

Values a target by reference to comparable M&A transactions. Typically shows a 20–40% premium over trading comps due to the "control premium" — the extra value a buyer pays for the ability to control the business.

3. Discounted Cash Flow (DCF)

Projects the company's free cash flows over 5–10 years and discounts them to present value using the weighted average cost of capital (WACC).

$$\frac{FCF_1}{(1+r)} + \frac{FCF_2}{(1+r)^2} + \dots + \frac{FCF_n + \text{Terminal Value}}{(1+r)^n}$$

The terminal value (typically calculated using a perpetuity growth model or exit multiple) often represents 60–80% of the total DCF value — a reminder that long-term assumptions matter more than near-term precision.

4. Leveraged Buyout (LBO) Model

The signature PE valuation tool. An LBO model calculates the maximum price a PE fund can pay while achieving its target return (typically 20–25% IRR). It works backwards from the desired return:

1. Assume an exit multiple and hold period
2. Project cash flows to determine how much debt can be repaid
3. Calculate equity value at exit
4. Determine the IRR on equity invested

Key LBO inputs:

Input	Typical range
Entry multiple	5–8× EBITDA (mid-market)
Leverage	3–5× EBITDA (senior debt)
Equity contribution	40–60% of enterprise value
Hold period	3–5 years
Exit multiple	Entry multiple ± 1

Exit multiple	Entry multiple ± 1×
Revenue growth	5–15% CAGR
EBITDA margin expansion	100–500 bps

Worked Example: Trading Comps — Valuing a Baltic Logistics Company

Suppose we are valuing **NordFreight**, a Lithuanian freight forwarding company with €12M revenue and €2.4M EBITDA (20% margin). We identify five publicly traded European logistics peers:

Company	EV (€M)	Revenue (€M)	EBITDA (€M)	EV/Revenue	EV/EBITDA
DSV Panalpina	38,200	17,400	3,100	2.2×	12.3×
Kuehne+Nagel	32,500	22,200	2,800	1.5×	11.6×
DB Schenker	14,800	19,500	1,900	0.8×	7.8×
DFDS	3,200	2,700	480	1.2×	6.7×
Girteka (est.)	1,800	2,100	230	0.9×	7.8×

Median EV/EBITDA: 7.8× | **Median EV/Revenue: 1.2×**

Applying a 15–25% discount for illiquidity, size, and geographic concentration:

Approach	Multiple	Discount	Implied EV
EV/EBITDA	7.8×	20%	€2.4M × 6.2× = **€14.9M**
EV/Revenue	1.2×	20%	€12M × 0.96× = **€11.5M**

Implied enterprise value range: €11.5M – €14.9M

The EV/EBITDA approach is typically more reliable for profitable, mature businesses. The EV/Revenue approach serves as a cross-check.

Worked Example: DCF — Valuing NordFreight

Using a 5-year DCF with terminal value:

Assumptions: - Revenue growth: 8% Year 1–2, 6% Year 3–5 - EBITDA margin: 20% → 22% (gradual improvement) - Capex: 3% of revenue - Working capital: 12% of incremental revenue - Tax rate: 15% (Lithuanian corporate rate) - WACC: 11% (reflecting Baltic mid-market risk) - Terminal growth rate: 2.5%

Year	Revenue	EBITDA	Tax	Capex	ΔWC	FCF
1	13.0	2.7	0.4	0.4	0.1	1.8
2	14.0	3.0	0.5	0.4	0.1	2.0
3	14.8	3.3	0.5	0.4	0.1	2.3
4	15.7	3.5	0.5	0.5	0.1	2.4
5	16.7	3.7	0.6	0.5	0.1	2.5

(All figures in €M)

Terminal value = $FCF_5 \times (1 + g) / (WACC - g) = 2.5 \times 1.025 / (0.11 - 0.025)$ = **€30.1M**

DCF valuation:

Component	PV (€M)
Year 1 FCF	1.6
Year 2 FCF	1.6
Year 3 FCF	1.7
Year 4 FCF	1.6
Year 5 FCF	1.5
Terminal value (discounted)	17.9
Enterprise value	**26.0**

Note how the terminal value represents 69% of total value — typical for a DCF and a reminder that the terminal growth rate and WACC assumptions drive the result more than near-term projections.

Worked Example: LBO Model — Acquiring NordFreight

The deal: BaltCap acquires NordFreight for €14.4M (6.0× LTM EBITDA of €2.4M).

Sources & Uses:

Sources	€M		Uses	€M
Senior debt (3.5× EBITDA)	8.4		Enterprise value	14.4
Equity	6.5		Transaction costs (3%)	0.4
			Cash to balance sheet	0.1
Total sources	**14.9**		**Total uses**	**14.9**

Debt terms: Euribor (3.5%) + 400 bps = 7.5% all-in. Amortisation: 5% per annum mandatory, plus cash sweep.

5-Year Projection:

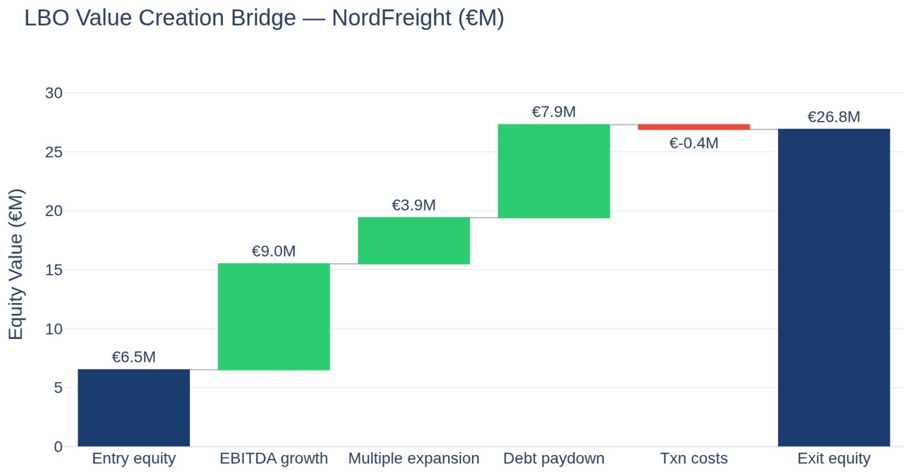
Year	Revenue	EBITDA	Interest	Debt repaid	Debt balance	Equity value
0	12.0	2.4	—	—	8.4	6.5
1	13.0	2.7	0.6	1.2	7.2	7.7
2	14.0	3.0	0.5	1.4	5.8	9.1
3	15.1	3.3	0.4	1.6	4.2	10.7
4	16.3	3.6	0.3	1.8	2.4	12.5
5	17.6	3.9	0.2	1.9	0.5	14.4

(All figures in €M. Equity value = EV at assumed exit multiple minus remaining debt.)

Exit at Year 5 at 7.0× EBITDA (1× multiple expansion):

Metric	Value

Exit EBITDA	€3.9M
Exit EV (7.0×)	€27.3M
Less: remaining debt	€0.5M
Equity proceeds	€26.8M
Equity invested	€6.5M
MOIC	**4.1×**
Gross IRR	**33%**



Value Creation Bridge

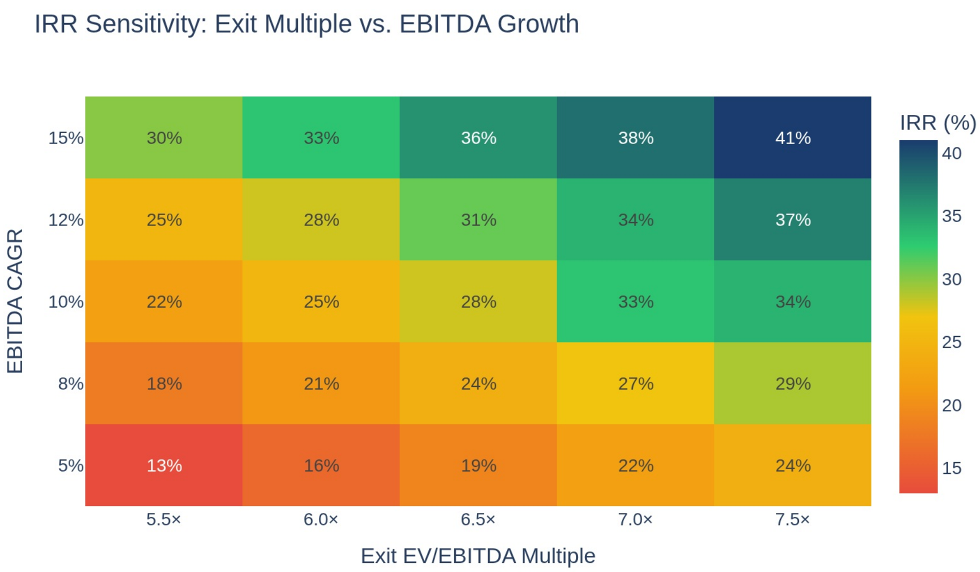
Value creation bridge:

Source	€M	% of total
EBITDA growth (€2.4M → €3.9M at entry multiple)	9.0	44%
Multiple expansion (6.0× → 7.0×)	3.9	19%
Debt paydown	7.9	39%
Less: transaction costs	(0.4)	(2%)
Total equity value created	**20.3**	**100%**

This bridge is a critical tool: it shows that 44% of value came from growing EBITDA, 39% from paying down debt with free cash flow, and 19% from selling at a higher multiple. A well-constructed deal derives value from all three sources.

Sensitivity Analysis

No single-point estimate is reliable. PE professionals stress-test their models across multiple dimensions simultaneously. Here is the NordFreight sensitivity matrix:



Sensitivity Heatmap

IRR Sensitivity: Exit Multiple vs. EBITDA Growth

	Exit 5.5×	Exit 6.0×	Exit 6.5×	Exit 7.0×	Exit 7.5×
EBITDA CAGR 5%	13%	16%	19%	22%	24%
EBITDA CAGR 8%	18%	21%	24%	27%	29%
EBITDA CAGR 10%	22%	25%	28%	**33%**	34%
EBITDA CAGR 12%	25%	28%	31%	34%	37%
EBITDA CAGR 15%	30%	33%	36%	38%	41%

MOIC Sensitivity: Entry Multiple vs. Exit Multiple

	Exit 5.5×	Exit 6.0×	Exit 6.5×	Exit 7.0×	Exit 7.5×
Entry 5.0×	2.5×	2.8×	3.1×	3.4×	3.7×
Entry 5.5×	2.1×	2.4×	2.7×	3.0×	3.3×
Entry 6.0×	1.8×	2.1×	2.4×	**2.7×**	3.0×
Entry 6.5×	1.6×	1.9×	2.1×	2.4×	2.7×
Entry 7.0×	1.4×	1.7×	1.9×	2.2×	2.4×

The deal should “work” (deliver acceptable returns) in the base case and “survive” (not default on debt) in the downside case. In NordFreight’s case, even with zero multiple expansion and only 5% EBITDA growth, the deal delivers a 16% IRR — above the hurdle rate.

Worked Example: Working Capital Analysis

Working capital is one of the most overlooked sources (and traps) in PE deals. Here is NordFreight’s working capital bridge:

Component	Days	€M	As % of revenue
Accounts receivable (DSO)	45	1.5	12.5%
Inventory (DIO)	5	0.2	1.7%
Prepaid expenses	—	0.3	2.5%
Current assets		**2.0**	**16.7%**
Accounts payable (DPO)	35	1.2	10.0%
Accrued expenses	—	0.4	3.3%
Current liabilities		**1.6**	**13.3%**
Net working capital		**0.4**	**3.3%**

Key PE interventions: - Reducing DSO from 45 to 35 days frees €0.3M in cash (a one-time benefit) - Extending DPO from 35 to 45 days frees another €0.3M - Combined: €0.6M permanent cash release = 9% of initial equity invested

In a competitive auction, the GP who understands working capital dynamics can underwrite a higher price because they know where the hidden cash sits.

Valuation in Practice: Bridging the Gap Between Buyer and Seller

One of the most common challenges in PE transactions is the “valuation gap” — the seller thinks the company is worth more than the buyer is willing to pay. This happens because:

- **Sellers value emotionally** — 25 years of building a business creates an attachment that numbers alone don’t capture
- **Sellers see potential** — “if we just invested in X, revenue would triple.” Buyers discount unrealised potential
- **Different risk perception** — the seller knows every customer by name; the buyer sees concentration risk
- **Information asymmetry** — sellers know where the bodies are buried (and that there aren’t any), but buyers assume the worst until DD proves otherwise

Worked Example: Bridging a €3M Valuation Gap

NordFreight’s founder wants €17M (7.1× EBITDA). The PE fund’s analysis supports €14.4M (6.0×). How to bridge the €2.6M gap:

Mechanism	Amount	How it works
Earn-out (Year 1 EBITDA target)	€1.0M	If Year 1 EBITDA exceeds €2.7M, seller receives €1.0M additional
Earn-out (Year 2 revenue target)	€0.8M	If Year 2 revenue exceeds €14M, seller receives €0.8M additional
Vendor loan (subordinated, 3-year, 6%)	€0.5M	Seller provides financing, repaid from cash flow over 3 years
Management equity (sweet equity for founder staying as advisor)	€0.3M value	Founder receives 3% equity pool vesting over 2 years
Total bridge	**€2.6M**	

The seller achieves their €17M headline price if the company performs to plan — which they believe it will. The buyer pays the base price of €14.4M and only pays more if the company delivers. Both parties are incentivised to make it work.

When earn-outs go wrong:

Earn-outs are powerful bridging tools but require careful structuring:

- **Define metrics precisely** — EBITDA calculated how? With what adjustments? Under IFRS or local GAAP?
- **Protect the seller's earn-out** — prevent the buyer from suppressing earnings during the earn-out period (e.g., loading unnecessary costs, deferring revenue)
- **Keep it simple** — complex, multi-year, multi-metric earn-outs generate disputes. One or two clear metrics over 12–18 months is ideal
- **Cap the earn-out** — total consideration should be capped to prevent runaway payments in a hockey-stick scenario
- **Dispute resolution** — specify an independent accounting firm to resolve earn-out disputes, with binding determination

The Business Owner's Preparation Checklist

If you are a business owner preparing for a potential PE transaction, start this process 12–24 months before engaging with buyers:

Financial preparation: - [ ] Engage an audit firm for 3 years of audited financial statements - [ ] Separate personal expenses from business expenses - [ ] Resolve any related-party transactions (rent, services, loans) at market rates - [ ] Normalise owner compensation to market levels - [ ] Address any deferred maintenance, capex, or underinvestment - [ ] Clean up the balance sheet: collect old receivables, write off uncollectable debts - [ ] Prepare a 3-year financial model showing growth trajectory

Operational preparation: - [ ] Reduce customer concentration (no single customer >15–20% of revenue) - [ ] Secure key customer contracts with multi-year terms - [ ] Lock in key employees with retention bonuses or equity - [ ] Document key processes — reduce dependency on any single person (including yourself) - [ ] Address any compliance gaps (GDPR, employment law, environmental permits) - [ ] Upgrade IT systems to PE-grade reporting capability (monthly P&L, cash flow, KPIs)

Legal preparation: - [ ] Resolve any pending or threatened litigation - [ ] Ensure all intellectual property is properly owned and registered - [ ] Review and renew key contracts (leases, supplier agreements, licenses) - [ ] Corporate housekeeping: minutes, resolutions, shareholding records up to date - [ ] Engage an M&A advisor and corporate lawyer

Strategic preparation: - [ ] Articulate a clear growth story — where does the company go from here? - [ ] Identify logical add-on acquisition targets (buy-and-build narrative) - [ ] Map potential buyers — who would want this company, and why? - [ ] Prepare management for DD (they will spend 20–30% of their time on it for 6–8 weeks) - [ ] Decide: do you want a full exit, partial exit, or growth equity partnership?

This checklist doesn't cost much to execute, but it can add €1–3M to the transaction value by presenting a "clean" company that gives buyers confidence and reduces perceived risk.

Chapter 7: Due Diligence

Purpose

Due diligence (DD) is the systematic investigation of a target company before completing an acquisition. Its purpose is to:

1. **Confirm the investment thesis** — verify that the company is what it appears to be
2. **Identify risks** — uncover hidden liabilities, legal issues, or operational problems
3. **Refine the valuation** — adjust the price based on findings
4. **Plan the first 100 days** — inform the post-acquisition value creation plan

Workstreams

Workstream	Key questions	Typical advisors
Commercial	Is the market growing? Is the competitive position defensible? Are customers sticky?	Strategy consultants
Financial	Are the financials accurate? What's the quality of earnings? Working capital trends?	Big 4 accounting firms
Legal	Contracts, litigation, IP ownership, regulatory compliance?	Law firms
Tax	Tax structure, historical compliance, transfer pricing, contingent liabilities?	Tax advisors
Environmental	Contamination, regulatory permits, climate risk?	Environmental consultants
IT / Technology	Systems architecture, technical debt, cybersecurity, scalability?	IT consultants
HR / Management	Key person risk, compensation structures, organisational culture?	HR consultants
Insurance	Adequacy of coverage, claims history, representations & warranties?	Insurance brokers

Red Flags

Experienced PE professionals watch for:

- Customer concentration (>20% of revenue from a single customer)
- Revenue recognition irregularities or aggressive accounting
- Underfunded pension liabilities
- Related-party transactions
- Pending or threatened litigation
- Key person dependency without succession planning
- Deferred capital expenditure creating a hidden liability
- Working capital manipulation to flatter cash flows before a sale

Quality of Earnings (QoE)

The QoE report, typically prepared by accounting firms, is the most critical DD deliverable. It adjusts reported EBITDA for:

- One-off or non-recurring items
- Owner perquisites and above-market compensation
- Related-party transactions at non-market rates
- Changes in accounting policies
- Normalised working capital requirements

The adjusted EBITDA becomes the basis for the final purchase price.

Worked Example: Quality of Earnings — NordFreight

The QoE report for NordFreight reveals several adjustments to reported EBITDA:

Reported P&L (LTM):

Line item	€M
Revenue	12.0
Cost of goods sold	(7.2)
Gross profit	4.8
Staff costs	(1.2)
Rent & facilities	(0.4)
Other operating expenses	(0.8)
Reported EBITDA	**2.4**

QoE adjustments:

#	Adjustment	Impact (€M)	Rationale
1	Owner's above-market salary	+0.15	Owner paid €180K; market rate for a CEO of this size is €120K. Add back €60K. Plus €90K in owner car, travel, and personal expenses run through the business.
2	One-off legal costs	+0.08	Litigation settled in LTM period. Non-recurring.
3	Below-market rent (related party)	-0.05	Warehouse rented from owner's personal holding company at below market rate. Needs normalising to market rent.
4	Deferred maintenance	-0.12	Three trucks due for major overhaul (€40K each). Should have been expensed.
5	Pro-forma cost of new CFO	-0.08	Company has no CFO; PE will hire one at €80K+. Add as a

			normalised cost.
6	Revenue timing	-0.03	€30K of revenue recognised early (Q4 delivery not yet completed).
7	Customer concentration risk	noted	Top customer = 18% of revenue. Below red-flag threshold (20%) but noted.
	Net QoE adjustment	**-0.05**	
	Adjusted EBITDA	**2.35**	

The QoE process reveals that the reported €2.4M EBITDA is only modestly overstated — a clean result. However, the €0.12M deferred maintenance and €0.08M pro-forma CFO cost offset the add-backs for owner expenses. The adjusted EBITDA of €2.35M becomes the basis for the purchase price negotiation.

Practical implications: - At 6.0× EBITDA, the €0.05M downward adjustment reduces the enterprise value by €300K — material enough to matter in a mid-market deal - The deferred maintenance finding might lead the buyer to request a price chip or a capex reserve in the SPA - The customer concentration note (18%) prompts the buyer to interview the top customer during commercial DD

DD Timeline and Costs

Workstream	Duration	Cost range (mid-market)
Financial DD (QoE)	4–6 weeks	€80K–€150K
Commercial DD	3–5 weeks	€60K–€120K
Legal DD	4–6 weeks	€50K–€100K
Tax DD	3–4 weeks	€30K–€60K
IT/Tech DD	2–3 weeks	€20K–€50K
Environmental	2–4 weeks	€15K–€40K
HR/Management	2–3 weeks	€15K–€30K
Total	**6–8 weeks**	**€270K–€550K**

These costs are typically borne by the buyer (PE fund) and are deducted from the fund's invested capital. For a €15M deal, DD costs of €300K–€400K represent 2–3% of the enterprise value — a meaningful investment, but one that pays for itself many times over in avoided risks and informed pricing.

Chapter 8: Deal Structuring & Negotiation

Capital Structure

A typical mid-market buyout is financed with:

Layer	% of EV	Typical terms
Senior secured debt	30–50%	3–5× EBITDA, Euribor + 300–500 bps
Mezzanine / unitranche	0–15%	Higher cost, flexible covenants
Equity (GP + co-invest)	40–60%	Target 20–25% IRR

Key Deal Terms

Share Purchase Agreement (SPA) — the definitive agreement. Key provisions:

- **Representations & warranties** — seller's statements about the company's condition
- **Indemnification** — seller's obligation to compensate for breaches
- **Earn-out** — contingent consideration tied to future performance (bridges valuation gaps)
- **Escrow** — portion of purchase price held in escrow to cover warranty claims
- **Non-compete** — seller agrees not to compete for 2–3 years
- **Material adverse change (MAC)** — allows the buyer to walk away if a significant negative event occurs before closing

Management Incentives

PE funds typically reserve 10–20% of equity for management through:

- **Management equity programme (MEP)** — managers invest alongside the fund, often with "sweet equity" (shares at a discount) that vest over the hold period
- **Ratchet mechanisms** — management's equity share increases if returns exceed certain thresholds
- **Good leaver / bad leaver** — provisions that determine what happens to management shares if they leave the company

Worked Example: Management Equity Waterfall

Understanding how management incentives work in practice is critical for both investors and business owners evaluating a PE deal. Here is a typical waterfall for the NordFreight acquisition:

Setup: - Total equity at entry: €6.5M - GP invests: €5.85M (90%) - Management invests: €0.325M (5%) at the same price as the GP - Management receives: additional 10% "sweet equity" (shares at nominal value) that vest over 4 years - Ratchet: management's total share increases to 20% if MOIC exceeds 3.0×

Scenario A: Base case exit (2.7× MOIC, €17.6M equity proceeds)

Participant	Invested	Vested %	Proceeds	Return
GP	€5.85M	85%	€15.0M	2.6×
Management (purchased)	€0.325M	5%	€0.88M	2.7×

Management (sweet equity)	€0.001M	10%	€1.76M	1,760×
Management total	**€0.326M**	**15%**	**€2.64M**	**8.1×**

Scenario B: Outperformance exit (4.1× MOIC, €26.8M equity proceeds)

The ratchet kicks in — management's share increases from 15% to 20%:

Participant	Invested	Effective %	Proceeds	Return
GP	€5.85M	80%	€21.4M	3.7×
Management total	€0.326M	20%	€5.4M	16.5×

Key insight for business owners: The sweet equity and ratchet mechanics mean that management's upside is disproportionately large relative to their investment. A CEO who invests €325K alongside the fund could earn €2.6M–€5.4M in equity proceeds over 5 years, on top of their salary. This is how PE aligns incentives — management gets wealthy only if the fund gets wealthy.

Debt Financing in PE Transactions

Leverage is the defining feature of buyouts. Understanding debt structures is essential for both investors and business owners.

Types of PE Debt

Instrument	Seniority	Typical cost	Security	Key features
Senior secured term loan	1st lien	Euribor + 300–500 bps	All assets	Amortising, financial covenants
Unitranche	Blended 1st/2nd	Euribor + 500–700 bps	All assets	Single facility, simpler docs, bullet repayment
Second lien	2nd lien	Euribor + 700–900 bps	Subordinated	Bullet repayment, fewer covenants
Mezzanine	Subordinated	12–15% (often with PIK)	Unsecured	PIK toggle, equity kickers, flexible
Vendor loan	Subordinated	5–8%	None	Seller provides financing, aligns incentives
Revolving credit facility	1st lien	Euribor + 250–400 bps	All assets	Working capital, drawn/repaid as needed

Debt Covenants

Covenants are the guardrails that protect lenders. PE professionals must understand them because covenant breaches can trigger default:

Financial covenants (tested quarterly): - **Leverage ratio** — Net Debt / EBITDA must stay below a ceiling (e.g., <5.0× at close, stepping down to <3.5× by Year 3) - **Interest coverage** — EBITDA / Interest must stay above a floor (e.g., >2.5×) - **Debt service coverage** — (EBITDA - Capex) / (Interest + Principal) must exceed 1.2× - **Capex limit** — annual capital expenditure capped (e.g., €500K without lender consent)

Incurrence covenants (tested at events): - **Permitted acquisitions** — add-ons allowed only if pro-forma leverage stays below a threshold - **Restricted payments** — dividends and distributions require lender consent above a threshold - **Change of control** — mandatory prepayment if the GP loses majority control

Worked Example: Debt Schedule for NordFreight

Year	Opening debt	Interest (7.5%)	Mandatory amort (5%)	Cash sweep	Closing debt	Leverage
1	8.4	0.63	0.42	0.75	7.23	2.7×
2	7.23	0.54	0.42	0.98	5.83	1.9×
3	5.83	0.44	0.42	1.18	4.23	1.3×
4	4.23	0.32	0.42	1.38	2.43	0.7×
5	2.43	0.18	0.42	1.48	0.53	0.1×

(€M. Cash sweep = 75% of excess cash flow after mandatory amortisation, capex, and working capital.)

The leverage drops from 3.5× at entry to 0.1× by exit — the debt has been almost entirely repaid from free cash flow. This deleveraging alone generates €7.9M of equity value (the “debt paydown” component of the value creation bridge).

Governance

Post-acquisition, the GP takes control through:

- Board seats (typically majority)
- Reserved matters (capex above threshold, M&A, debt, dividends)
- Monthly / quarterly reporting requirements
- Annual budget approval

Chapter 9: Portfolio Value Creation

The 100-Day Plan

The first 100 days after closing are critical. A well-prepared GP arrives with a detailed plan covering:

1. **Quick wins** — pricing adjustments, procurement savings, working capital improvements
2. **Management assessment** — evaluate the team and make changes where needed
3. **Reporting & KPIs** — install a PE-grade reporting framework
4. **Strategic priorities** — agree on 3–5 value creation initiatives with the management team
5. **Stakeholder communication** — employees, customers, suppliers, regulators

The Five Levers of Value Creation

1. Revenue Growth

- New product / service launches
- Geographic expansion (domestic → regional → international)
- Cross-selling to existing customers
- Price optimisation
- Channel expansion (direct, digital, partnerships)

2. Margin Improvement

- Procurement centralisation and renegotiation
- Lean operations and process automation
- Shared services (finance, HR, IT)
- Headcount optimisation (not just cuts — right-sizing and upskilling)
- Energy efficiency and waste reduction

3. Buy-and-Build (Add-on Acquisitions)

One of the most powerful PE strategies. The fund acquires smaller companies and integrates them into the platform:

- **Revenue synergies** — cross-selling, combined offering, access to new customers
- **Cost synergies** — eliminate duplicate overhead, centralise procurement
- **Multiple arbitrage** — smaller companies trade at lower multiples (3–5× EBITDA) than the combined platform (7–10×), creating value simply through consolidation

Worked Example: NordFreight Buy-and-Build

NordFreight (platform) acquires two smaller Baltic logistics operators over three years:

Company	Revenue	EBITDA	Acquisition price	Multiple paid
NordFreight (platform)	€12.0M	€2.4M	€14.4M	6.0×
Add-on 1: RigaLog (Year 1)	€4.0M	€0.7M	€2.5M	3.6×
Add-on 2: TallinnCargo (Year 2)	€3.5M	€0.5M	€2.0M	4.0×

Pre-synergy combined:

Metric	Value
Combined revenue	€19.5M
Combined EBITDA	€3.6M
Total capital deployed	€18.9M
Blended entry multiple	5.3×

Post-synergy (Year 3):

Synergy	Annual impact
Eliminate duplicate back-office (2 CFOs, 2 HR, IT)	+€0.4M EBITDA
Centralised procurement (fuel, insurance, maintenance)	+€0.3M EBITDA
Cross-selling (NordFreight's Finnish clients → Riga routes)	+€1.2M revenue, +€0.2M EBITDA
Combined platform organic growth (8%)	+€1.6M revenue, +€0.3M EBITDA
Post-synergy total	**€22.3M revenue, €4.8M EBITDA**

The multiple arbitrage math:

Scenario	EBITDA	Exit multiple	EV	Debt	Equity	MOIC on total equity
No buy-and-build	€3.9M	7.0×	€27.3M	€0.5M	€26.8M	4.1×
With buy-and-build	€4.8M	7.5×	€36.0M	€0.5M	€35.5M	5.5×

The buy-and-build adds €8.7M to equity value through: (a) acquiring €1.2M of EBITDA at a blended 3.8× multiple, (b) realising €0.9M in synergies, and (c) the combined, larger, diversified platform commands a higher exit multiple (7.5× vs. 7.0×). The additional €4.5M equity invested in add-ons generates a 2.9× incremental return — before accounting for the uplift to the platform valuation.

This is why buy-and-build is the dominant mid-market PE strategy in fragmented industries: the math is compelling even with modest synergies.

4. Balance Sheet Optimisation

- Working capital management (DSO, DPO, inventory turns)
- Sale-and-leaseback of real estate
- Asset-light transitions
- Capital allocation discipline

5. Management & Governance

- Recruiting experienced executives (CFO, COO, CRO)
- Installing professional boards with independent directors
- Performance management and incentive alignment
- Succession planning

ESG as Value Creation

Environmental, Social, and Governance factors have moved from “nice to have” to a core part of PE value creation:

- **Environmental** — energy efficiency, emissions reduction, circular economy
- **Social** — employee wellbeing, diversity & inclusion, community impact
- **Governance** — board composition, compliance, transparency

LPs increasingly require ESG reporting, and exits to strategic buyers or IPOs command higher multiples for companies with strong ESG credentials.

Chapter 10: Exit Strategies

Planning the Exit

Exit planning begins at entry. The best PE firms map potential acquirers before they invest and structure the value creation plan to maximise the company's attractiveness to those buyers.

Exit Routes

Trade Sale (Strategic Buyer)

The most common exit. A larger company in the same or adjacent industry acquires the portfolio company. Advantages:

- Highest prices (strategic synergies justify a premium)
- Clean, definitive exit
- Often the fastest process

Secondary Buyout (Sponsor-to-Sponsor)

Sale to another PE fund. Common when the company has further growth potential that the next fund is better positioned to capture (different geography, sector expertise, or fund size).

Initial Public Offering (IPO)

Listing on a public stock exchange. Reserved for larger, high-growth companies with a compelling equity story. Advantages include access to public capital markets and brand visibility; disadvantages include ongoing compliance costs and market timing risk.

Recapitalisation / Dividend Recap

The company refinances its debt at a higher level and distributes the proceeds to shareholders. The GP retains ownership while returning capital to LPs. Not a full exit, but reduces risk and improves DPI.

Worked Example: Exit Process Timeline

The NordFreight exit (Year 5) illustrates a typical structured sale:

Month	Activity
T-18	Board and GP agree to explore exit options. Mandate investment bank.
T-15	Commission vendor due diligence (VDD): financial, commercial, tax, ESG. Engage legal counsel to prepare data room.
T-12	VDD reports completed. Investment bank prepares Information Memorandum (IM) and management presentation.
T-10	"Long list" of 45 potential buyers prepared: 20 strategic (logistics groups, 3PLs, Nordic industrials), 25 financial (PE funds).
T-9	NDAs signed with 30 interested parties. Teaser document distributed.

T-8	IM and data room access provided to 25 parties who signed NDAs.
T-6	Management presentations to 12 shortlisted bidders (2-hour meetings at company HQ).
T-5	Non-binding indicative offers received from 8 parties. Range: €22M – €28M EV.
T-4	4 bidders selected for final round. Full data room access, confirmatory DD.
T-3	Site visits. Expert sessions (IT, operations, HR). Debt financing arranged by financial bidders.
T-2	Binding offers from 3 parties. Best offer: €27.3M (7.0× EBITDA) from Nordic strategic buyer.
T-1	SPA negotiation. W&I insurance arranged. Regulatory approvals filed.
T-0	Signing and closing (simultaneous). Funds wired. Champagne.

Cost of exit process: approximately €1.2M (investment bank fee 2–3% of EV, legal €200K, VDD reports €300K, other advisors €100K). These costs are deducted from proceeds before GP carry is calculated.

Exit Preparation

12–24 months before a planned exit, the GP typically:

- Commissions a vendor due diligence (VDD) report
- Prepares an information memorandum (IM)
- Cleans up financials and resolves any outstanding issues
- Hires an investment bank to run the sale process
- Identifies 30–50 potential buyers (strategic and financial)
- Resolves any outstanding litigation, environmental, or compliance issues
- Ensures management team is retained and incentivised through the sale
- Benchmarks financial performance against comparable transactions

What Drives Exit Multiples

The difference between a 6× and a 10× exit can be worth tens of millions of euros. Understanding what drives multiples is essential:

Premium factors (+1–3× multiple uplift):

Factor	Why it commands a premium	Typical uplift
Revenue growth >15%	Buyers pay for momentum	+1.0–2.0×
Recurring revenue >60%	Predictable cash flows reduce risk	+1.0–2.0×
EBITDA margin >25%	Signals pricing power and efficiency	+0.5–1.0×
Market #1 or #2 position	Defensibility and scale	+0.5–1.5×
Multi-country	Diversification, harder to replicate	+0.5–1.0×

operations		
Technology/data moat	Strategic value to acquirers	+1.0–3.0×
Strong management team	Continuity reduces integration risk	+0.5–1.0×
ESG credentials	Meets buyer/LP requirements	+0.5–1.0×

Discount factors (-1–3× multiple reduction):

Factor	Why it reduces multiples	Typical discount
Customer concentration >25%	Single-point-of-failure risk	-1.0–2.0×
Declining revenue	Negative momentum	-1.0–3.0×
Key person dependency	What happens if the founder leaves?	-0.5–1.5×
Single geography	Limited growth optionality	-0.5–1.0×
Capex-intensive	Requires ongoing investment to maintain	-0.5–1.0×
Regulatory risk	Uncertain future environment	-0.5–2.0×
Pending litigation	Contingent liability	Case-specific

Chapter 11: The Baltic PE Market

Market Overview

The Baltic states — Estonia, Latvia, and Lithuania — represent one of Europe's most dynamic emerging PE markets. With a combined GDP of ~€120 billion and populations totalling ~6 million, the Baltics punch above their weight in entrepreneurship, technology adoption, and economic growth.

Why the Baltics?

Attractive entry valuations — mid-market companies typically trade at 3–7× EBITDA, significantly below Western European levels (8–12×). This creates an inherent multiple arbitrage opportunity as companies professionalise and scale regionally.

Generational transition — businesses founded in the 1990s after independence from the Soviet Union are now facing succession challenges as founders approach retirement (age 55–65). This creates a deep pipeline of acquisition opportunities.

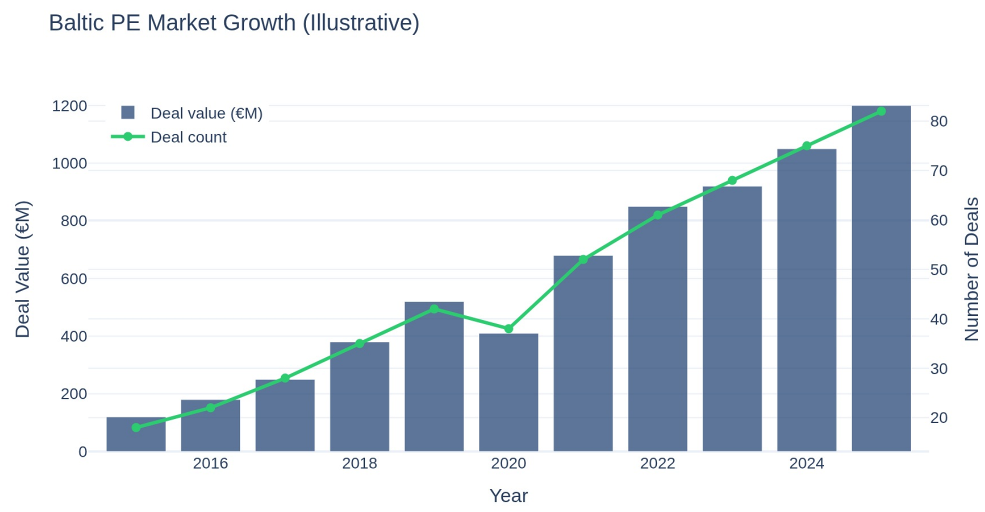
Digital-native economies — Estonia's e-governance leadership, Lithuania's fintech ecosystem, and Latvia's IT outsourcing sector mean that Baltic companies are often further ahead in digital adoption than their Western European peers.

EU membership — all three countries are EU and Eurozone members, providing regulatory stability, access to EU markets, and investment-grade country risk.

Strategic geography — positioned between the Nordics, Central Europe, and emerging Eastern European markets, with natural expansion corridors in all directions.

Key Players

Fund	AUM	Strategy	Geography
BaltCap	€600M+	Buyout, infrastructure	Baltics, Nordics
Livonia Partners	€240M	Growth buyout	Pan-Baltic
AAA Enterprises	~€3B (group)	Financial services holding	Lithuania, Luxembourg
Curonia Capital	€50M	AI-driven growth equity	Baltics, expanding to Nordics/CEE
BPM Capital	—	Mid-market	Lithuania
Karma Ventures	—	Deep tech VC	Baltics



Baltic Pe Growth

Market Dynamics

- **Deal flow** — hundreds of companies with €2–20M revenue, many founder-owned with no institutional capital
- **Competition** — less competitive than Western Europe; fewer funds chasing each deal
- **Value creation** — significant room for professionalisation, digitalisation, and regional expansion
- **Exits** — Nordic and Western European strategics are natural acquirers; secondary buyouts to larger PE funds are increasing
- **Risks** — small domestic markets, geopolitical proximity to Russia, talent scarcity, currency concentration (all EUR, but limited depth)

Baltic PE: Country Profiles

Estonia

Indicator	Value
GDP	€38B
Population	1.4M
Corporate tax	0% retained / 20% distributed
Notable PE exits	Fitek (BaltCap), Eesti Energia renewables, Starship Technologies
Key sectors for PE	Technology, fintech, logistics, healthcare
Unique advantage	Europe’s most digital economy. E-residency programme. Startup culture (10+ unicorns per capita #1 globally)

Estonia’s 0% corporate tax on retained earnings makes it uniquely attractive for PE hold periods. All cash flow can be reinvested or used for debt repayment without a tax drag — directly boosting IRR.

Latvia

Indicator	Value
GDP	€41B
Population	1.8M
Corporate tax	0% retained / 20% distributed (Estonian model since 2018)
Notable PE activity	BaltCap, HansaMatrix, Primekss
Key sectors for PE	Manufacturing, IT services, timber/forestry, food processing
Unique advantage	Strong manufacturing base. Riga as Baltic logistics hub. Lower labour costs than Estonia

Latvia's manufacturing sector — particularly wood products, food processing, and electronics — offers classic buy-and-build opportunities in fragmented industries.

Lithuania

Indicator	Value
GDP	€70B
Population	2.8M
Corporate tax	15% standard / 5% small company
Notable PE activity	AAA Enterprises, BPM Capital, Invalda INVL
Key sectors for PE	Financial services, logistics, manufacturing, education
Unique advantage	EU's #2 fintech hub (250+ fintech companies). Largest Baltic economy. Growing private equity ecosystem

Lithuania has the largest economy and deepest capital markets of the three Baltic states, but its 15% corporate tax rate is less PE-friendly than the Estonian/Latvian 0% retained earnings model.

The Nordic-Baltic Corridor

The most important dynamic in Baltic PE is the deepening integration with the Nordic economies (Sweden, Finland, Denmark, Norway). This manifests as:

- **Exit route** — Nordic corporates are the most active acquirers of Baltic PE portfolio companies. They value the geographic proximity, EU framework, and cost-competitive operations.
- **LP capital** — Nordic pension funds, family offices, and development banks (Norfund, Swedfund, FinnFund) are increasingly allocating to Baltic PE funds.
- **Talent** — Baltic companies recruit Nordic executives for board positions and C-suite roles, professionalising governance.
- **Market expansion** — Baltic portfolio companies naturally expand northward. A company with operations in all three Baltic states (6M people) can target the Nordics (28M people) as the next

growth frontier.

This corridor creates a virtuous cycle: Nordic LP capital flows into Baltic funds, which invest in Baltic companies, which grow into Nordic markets, where they are acquired by Nordic strategics — generating returns that attract more Nordic LP capital.

Chapter 12: The LP Perspective — How to Evaluate PE Funds

Who Are the LPs?

Limited Partners provide the capital that makes PE possible. The major LP categories:

LP Type	Typical PE allocation	Key priorities
Public pension funds	5–15% of total assets	Stable returns, ESG compliance, co-invest rights
Corporate pensions	5–10%	Risk-adjusted returns, liability matching
Endowments	15–30%	Long-term real returns, vintage diversification
Sovereign wealth funds	5–20%	Geographic diversification, strategic sectors
Family offices	10–30%	Direct co-investment, alignment, access
Insurance companies	3–8%	Solvency capital treatment, steady distributions
Fund of funds	100%	Manager selection, diversification

Evaluating a GP: The Due Diligence Framework

LPs perform extensive due diligence on GPs before committing capital. The evaluation covers:

Track record analysis. Performance data is necessary but not sufficient. Sophisticated LPs look beyond headline IRR:

- **Consistency** — did all funds outperform, or did one exceptional deal carry multiple mediocre funds?
- **Loss ratio** — what percentage of deals lost money? A 25%+ loss ratio suggests poor discipline
- **Attribution** — was performance driven by multiple expansion (market timing) or genuine operational improvement?
- **Persistence** — does the same team drive performance across fund vintages?
- **Realised vs. unrealised** — DPI (cash returned) matters more than TVPI (paper marks). A fund with a 2.5× TVPI but 0.5× DPI has returned very little actual cash

Worked Example: Evaluating a Baltic PE Fund's Track Record

Fund	Vintage	Size (€M)	TVPI	DPI	Net IRR	Deals	Losses
Fund I	2012	45	2.8×	2.8×	22%	8	1
Fund II	2016	85	2.3×	1.9×	19%	10	1
Fund III	2020	130	1.6×	0.4×	18%	7	0

Analysis: - Fund I is fully realised (DPI = TVPI) — strong performance, validated - Fund II is mostly realised (DPI 1.9× of 2.3× TVPI) — good trajectory - Fund III is early (DPI 0.4×) — TVPI of 1.6× reflects unrealised marks, not yet proven - Loss ratio: 2 out of 25 deals (8%) — excellent discipline - Net IRR declining from 22% → 19% → 18% is normal as fund sizes grow (harder to find deals at larger scale) -

Key question: is the same team responsible for all three funds?

Team assessment. LPs invest in people, not slide decks:

- Stability — has the core team been together across fund generations?
- Incentive structure — how is carry distributed? Top-heavy carry (>50% to one partner) creates key person risk
- Succession planning — what happens when the founding partner retires?
- Operating capability — does the GP have in-house operating partners, or does it rely entirely on management?
- Pipeline — can the GP demonstrate proprietary deal flow, or does it depend on auction processes?

Terms and alignment:

Term	LP-friendly	GP-friendly
Management fee	1.5% stepping to 1.0%	2.0% flat
Carry	20% with 8% hurdle, European waterfall	20% with deal-by-deal carry
GP commitment	3–5% of fund	<1%
Key person clause	Triggers suspension on 1 departure	Requires 2+ departures
No-fault divorce	66% LP vote	75%+ LP vote or none
Co-investment rights	Pro-rata, no fee/carry	Selective, with management fee

Portfolio Construction for LPs

LPs diversify across:

- **Vintage years** — committing to new funds every 2–3 years smooths the J-curve
- **Strategies** — buyout, growth, venture, infrastructure, secondaries
- **Geographies** — US, Europe, Asia, emerging markets
- **Fund sizes** — mega-cap (>€5B), mid-market (€200M–€2B), small-cap (<€200M)

A typical institutional PE portfolio might commit to 15–25 GP relationships across these dimensions.

Chapter 13: ESG in Private Equity

Why ESG Matters for PE

ESG (Environmental, Social, Governance) has evolved from a reporting checkbox to a core value creation lever in PE. Three forces drive this:

1. **LP requirements** — SFDR (EU Sustainable Finance Disclosure Regulation) and equivalent frameworks require fund managers to classify funds, disclose sustainability risks, and report on ESG metrics. LPs increasingly screen out GPs without credible ESG policies.

2. **Exit premiums** — companies with strong ESG credentials command higher exit multiples. A 2024 BCG study found that companies scoring in the top quartile on ESG metrics achieved exit multiples 10–15% higher than bottom-quartile peers.

3. **Risk mitigation** — environmental liabilities, governance failures, and social controversies destroy value. Proactive ESG management identifies and mitigates these risks before they materialise.

The ESG Framework for PE

Environmental

Initiative	Typical impact	Measurement
Energy efficiency audits	10–25% cost reduction	kWh per unit of output
Renewable energy procurement	Carbon reduction + price hedge	% renewable in energy mix
Waste reduction / circular economy	5–15% material cost savings	Tonnes to landfill
Fleet electrification	Fuel cost reduction + ESG score	CO_2 per km
Water management	Regulatory compliance + cost	Litres per unit

Social

- **Employee wellbeing** — health insurance, flexible working, training budgets. Reduces turnover (which costs 50–200% of salary per departure in recruitment and productivity loss).
- **Diversity & inclusion** — diverse leadership teams correlate with better financial performance (McKinsey: top-quartile diverse companies are 35% more likely to outperform).
- **Community impact** — local employment, apprenticeships, supply chain ethics.
- **Health & safety** — incident rates, near-miss reporting, safety culture assessments.

Governance

- **Board composition** — independent directors, diverse backgrounds, relevant expertise
- **Compliance** — anti-corruption, data protection (GDPR), anti-money laundering
- **Transparency** — financial reporting quality, stakeholder communication
- **Cybersecurity** — increasing focus post-COVID as digital attack surfaces have expanded
- **Tax** — responsible tax practices, transfer pricing transparency

ESG Integration in the Deal Lifecycle

Phase	ESG activity
Screening	ESG exclusion list (tobacco, weapons, gambling). Quick assessment of material ESG risks
Due diligence	Dedicated ESG DD workstream: environmental liabilities, labour practices, governance gaps
100-day plan	ESG baseline assessment, KPI definition, quick wins (e.g., LED lighting, policy updates)
Value creation	ESG initiatives embedded in the value creation plan. Annual ESG reporting
Exit	ESG track record documented in VDD. Improvement trajectory quantified for buyers

Worked Example: ESG Value Creation at NordFreight

Initiative	Investment	Annual savings	Payback	ESG impact
Fleet transition: 20% EV trucks	€1.2M	€0.18M fuel savings	6.7 years	-30% fleet CO_2
Solar panels on warehouse roof	€0.3M	€0.06M energy	5.0 years	-15% facility CO_2
Driver safety programme	€0.05M	€0.12M (fewer incidents, lower insurance)	0.4 years	-40% incident rate
ERP-integrated ESG dashboard	€0.08M	— (no direct savings)	—	LP reporting compliance
Total	**€1.63M**	**€0.36M**	**4.5 years**	**Material ESG improvement**

At exit, a Nordic strategic buyer (operating in a market where ESG is a procurement requirement) values NordFreight's ESG credentials as a competitive advantage with their own customers — contributing to the 1× multiple expansion from 6.0× to 7.0×.

Chapter 15: Fundraising — How GPs Raise Capital

The Fundraising Process

Raising a PE fund is one of the most challenging tasks in finance. First-time fund managers spend 12–24 months and meet 200+ LPs to close a fund. Even established GPs dedicate 6–12 months and significant partner time to each fundraise.

The Fundraising Timeline

Phase	Duration	Key activities
Preparation	3–6 months	Track record documentation, team stabilisation, fund terms, legal structuring, placement agent selection
Soft marketing	2–3 months	Pre-marketing to anchor LPs (largest, most influential). Test appetite and terms
First close	3–6 months	Formal marketing launch. PPM, LPA distributed. Target: 30–50% of target fund size
Subsequent closes	3–9 months	Continue marketing. Second and third closes at 60%, 80% of target
Final close	1–3 months	Last LPs commit. Hard cap enforced. Fund officially “closed”
Total	**12–24 months**	

Key Fundraising Documents

Private Placement Memorandum (PPM) — the primary marketing document. 80–120 pages covering: - Fund strategy and thesis - Team biographies and track record - Prior fund performance (DPI, TVPI, IRR by vintage and deal) - Target portfolio composition - Terms and conditions - Risk factors - Tax and regulatory considerations

Limited Partnership Agreement (LPA) — the governing legal document. 100+ pages covering: - Fund terms (size, life, fees, carry, hurdle) - Investment restrictions (sector, geography, concentration limits) - GP obligations and fiduciary duties - LP rights (LPAC, no-fault divorce, key person events) - Reporting and audit requirements - Clawback and distribution waterfall

Due Diligence Questionnaire (DDQ) — a standardised questionnaire (often following ILPA templates) that LPs use to evaluate GPs. Covers operations, compliance, ESG, team, track record, and conflicts of interest.

What LPs Look For

Based on LP surveys and industry practice, the decision factors (in approximate order of importance):

1. **Team quality and stability** (40% of decision weight) — who are the partners, how long have they worked together, what happens if someone leaves?
2. **Track record** (25%) — but only if attributable to the current team and strategy
3. **Strategy differentiation** (15%) — what is unique about this GP’s approach? Why will it generate alpha?

4. **Fund terms** (10%) — are terms LP-friendly? Is the GP willing to negotiate?
5. **Operational infrastructure** (10%) — compliance, reporting, ESG, cybersecurity

Worked Example: Baltic Growth Fund III Fundraise

Target: €150M | Hard cap: €175M | First-time institutional fund for an established team

LP Type	Commitment (€M)	# of LPs	Avg. ticket	Notes
European pension funds	45	3	15	Anchor investors. Required ESG framework, LPAC seat
Nordic family offices	30	6	5	Attracted by Baltic thesis, co-invest rights
EU development banks (EIF, EBRD)	25	2	12.5	Catalytic capital. Cornerstone commitment at first close
Fund of funds	20	2	10	Required DDQ, ops DD, reference calls
Insurance companies	15	2	7.5	Solvency II considerations limited allocation
HNWIs and smaller FOs	15	8	1.9	GP’s personal network
GP commitment (3%)	5	—	—	Partners’ personal capital
Total	**155**	**23**		

Fundraising costs: - Placement agent fee (1.5% of capital raised from agent-sourced LPs): ~€1.5M - Legal costs (fund structuring, LPA, regulatory): ~€400K - Travel, marketing, data rooms: ~€200K - Total: ~€2.1M (typically offset against first-year management fees)

Timeline: - Month 0: EIF and EBRD commit €25M (anchor). First close at €55M. - Month 6: Second close at €105M. Three pension funds committed after GP’s track record review. - Month 12: Final close at €155M (above €150M target, below €175M hard cap).

The Placement Agent Decision

Placement agents are third-party fundraising intermediaries. The trade-off:

Factor	Without agent	With agent
Cost	Zero	1.5–2.5% of capital raised

LP access	Limited to GP's network	Agent's LP relationships (500+)
Fundraise duration	18–24 months	12–18 months
First-time fund	Very difficult	Agent credibility helps
Established GP	Network sufficient	May not be needed

For Baltic GPs raising their first institutional fund, a placement agent with Nordic and European LP relationships is typically essential. The cost (€1–3M) is significant but the alternative — a failed fundraise — is worse.

Chapter 14: Legal & Regulatory Framework

Fund Structuring

PE funds in Europe are typically structured under one of the following frameworks:

Structure	Jurisdiction	Key features
SCSp (Société en Commandite Spéciale)	Luxembourg	Most common European PE fund vehicle. Tax-transparent, flexible, globally recognised
SLP (Scottish Limited Partnership)	UK	Popular for UK/global funds. Tax-transparent, established case law
CV (Commanditaire Vennootschap)	Netherlands	Tax-transparent, used for real estate and infrastructure funds
KG (Kommanditgesellschaft)	Germany	Standard for DACH-focused funds
Limited Partnership	Lithuania, Estonia, Latvia	Emerging option for Baltic-domiciled funds. Lower setup costs

AIFMD: The European PE Regulatory Framework

The Alternative Investment Fund Managers Directive (AIFMD) is the primary EU regulation governing PE funds. Key requirements:

- **Authorisation** — fund managers with AUM above €500M (leveraged) or €100M (unleveraged) must be authorised as AIFMs by their national regulator
- **Depositary** — all funds must appoint an independent depositary to safeguard assets and verify ownership
- **Reporting** — regular reporting to national regulators on leverage, risk, liquidity, and investment positions (Annex IV reporting)
- **Marketing passport** — authorised AIFMs can market to professional investors across the EU without additional national registration
- **Remuneration** — variable compensation must be aligned with long-term performance and partially deferred

Practical impact for Baltic funds: Lithuanian, Estonian, and Latvian fund managers seeking to raise capital from EU institutional investors must either obtain an AIFM licence or operate under the sub-threshold exemption (with limitations on marketing). This is why dual-jurisdiction structures (e.g., AAA Enterprises with Lithuania + Luxembourg) are common — the Luxembourg AIFM licence provides full EU marketing passport.

Key Legal Documents in a PE Transaction

Document	Purpose	Typical length
Term sheet / LOI	Non-binding outline of price, structure, conditions	5–10 pages
Share Purchase Agreement (SPA)	Definitive acquisition agreement	50–100 pages
Shareholders' Agreement	Governance, minority	30–60 pages

(SHA)	protections, exit provisions	
Management Service Agreement	GP's management fee and service obligations	10–20 pages
Facility Agreement	Debt terms, covenants, security	80–150 pages
Disclosure Letter	Seller's exceptions to warranties	20–50 pages
W&I Insurance Policy	Warranty & indemnity insurance	30–40 pages

Tax Considerations for Baltic PE

Country	Corporate tax	Dividend/distribution tax	PE-relevant features
Estonia	0% retained / 20% distributed	20% on distribution	Reinvested profits untaxed — highly PE-friendly
Lithuania	15% standard / 5% small company	15%	Participation exemption on qualifying holdings
Latvia	0% retained / 20% distributed	20% on distribution	Estonian-style system since 2018

Estonia's and Latvia's "tax on distribution" model is uniquely attractive for PE: portfolio companies pay zero corporate tax on retained earnings, meaning all cash flow can be reinvested or used for debt repayment during the hold period. Tax is only triggered on exit when proceeds are distributed — aligning perfectly with the PE fund lifecycle.

Seller's Legal Considerations

For business owners contemplating a sale to PE, key legal protections to negotiate:

- **Warranty limitations** — cap seller's warranty exposure (typically 10–30% of purchase price), with de minimis thresholds and time limits (12–24 months)
- **W&I insurance** — increasingly common in European mid-market deals, this shifts warranty risk from the seller to an insurer, enabling cleaner exits
- **Earn-out mechanics** — if part of the price is contingent, ensure clear, objective measurement criteria that cannot be manipulated by the buyer
- **Management retention** — if staying post-sale, negotiate clear employment terms, reporting lines, and the triggers for "good leaver" vs. "bad leaver" treatment of equity
- **Non-compete scope** — negotiate reasonable geographic and temporal limits on non-competition clauses
- **Locked box vs. completion accounts** — locked box (fixed price based on a historical date) gives price certainty; completion accounts (adjusted for actual net debt and working capital at closing) can lead to post-closing disputes

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Part II: Baltic Case Studies

The following nine case studies illustrate how Baltic PE funds identify, acquire, and create value in real companies. For each case, we examine the acquisition rationale and then explore value creation through both **traditional PE methods** and **AI transformation** — reflecting the convergence of operational improvement and technology that defines modern PE.

The AI transformation lens is inspired by the thesis of Curonia Capital, a €50M Baltic growth equity fund that deploys a proprietary AI playbook to traditional businesses with high-volume document workflows, structured data, and repetitive administrative tasks.

BaltCap

The largest private equity manager in the Baltic states. Founded in 1995, BaltCap has raised over €600 million across multiple fund generations and completed 60+ investments. BPEF III, their latest buyout fund, closed at €177 million — the largest ever raised in the Baltics. Targets enterprise values of €10–100M across the Baltics and Nordics.

Case Study 1: Fitek — Invoice Automation at Scale

Company: Fitek | **Sector:** Financial Technology | **Country:** Estonia (HQ), 8 countries | **Investment:** 2016–2019 (Buyout) | **Revenue:** €17M (2018) | **Employees:** 260

Company Overview

Fitek is Northern Europe's leading provider of invoice automation and financial document digitisation. The company processes over 150 million invoices and other documents annually across eight countries (Estonia, Latvia, Lithuania, UK, Slovakia, Serbia, Bosnia & Herzegovina), serving clients in more than 20 nations. Its platforms — Fitekin and ONEA — automate invoice management, purchase-to-pay, and order-to-cash workflows for enterprise customers.

Acquisition Rationale

BaltCap identified Fitek as a classic "pick-and-shovel" play on the digitisation of European financial processes:

- **Market leadership** — #1 in Baltic invoice automation, with a platform processing 150M+ documents per year
- **Structural tailwind** — EU e-invoicing mandates and corporate digitisation were accelerating demand
- **Recurring revenue** — transaction-based pricing (per invoice processed) created predictable, growing revenue streams
- **Geographic optionality** — proven expansion model (8 countries) with room to enter additional European markets
- **Scalable platform** — technology-driven business where incremental volume generates high-margin revenue

Traditional PE Value Creation

- **Geographic expansion** — leveraging the proven Baltic platform to enter new Central and Southern European markets, acquiring local competitors where needed
- **Product extension** — expanding from pure invoice processing to broader accounts payable / accounts receivable automation, increasing revenue per customer
- **Enterprise upselling** — moving upmarket to serve larger enterprise clients with more complex, higher-value workflows
- **Operational efficiency** — centralising back-office functions across country offices, standardising implementation processes
- **Pricing optimisation** — transitioning from legacy flat-fee contracts to usage-based pricing that captures the value of growing document volumes

AI Transformation Opportunities

Fitek sits at the intersection of high-volume structured data and repetitive financial processes — an ideal candidate for AI transformation:

- **Intelligent document processing** — deploying computer vision and NLP models to automatically extract, classify, and validate invoice data, reducing manual data entry and exception handling by 70–80%
- **Anomaly detection** — ML models trained on 150M+ annual invoices to automatically flag duplicate payments, pricing discrepancies, and potential fraud
- **Predictive cash flow** — analysing payment patterns across millions of invoices to predict when specific customers will pay, enabling better working capital management for clients
- **Smart routing** — AI-driven workflow routing that automatically assigns invoices to the right approver based on amount, category, vendor, and historical patterns
- **Natural language querying** — allowing finance teams to ask questions about their invoice data in plain language (“Show me all invoices from Baltic suppliers overdue by more than 30 days”)

Hypothetical Financial Scenario

The following is an illustrative analysis, not actual Fitek/BaltCap financial data.

Metric	Entry (2016)	Exit (2019)	CAGR
Revenue	€12M	€17M	12%
EBITDA	€3.0M	€5.1M	19%
EBITDA margin	25%	30%	—
Documents processed	90M	150M	19%

Deal Economics	Value
Entry EV (8.0× EBITDA)	€24.0M
Equity invested	€12.0M
Exit EV (10.0× EBITDA)	€51.0M
Exit equity (net of debt)	€39.0M
MOIC	**3.3×**
Gross IRR	**~48%**

Value creation: ~45% from EBITDA growth, ~30% from multiple expansion (technology premium), ~25% from debt paydown. The multiple expansion from 8× to 10× reflects Fitek’s repositioning from a “Baltic document processing company” to a “European fintech platform” — a classic PE value creation story.

Case Study 2: Viru Elektrivõrgud — Energy Transition Infrastructure

Company: Viru Elektrivõrgud | **Sector:** Electric Utilities / Infrastructure | **Country:** Estonia | **Investment:** January 2024 (Active) | **Grid:** 946 km of power lines, 374 substations | **Distribution Volume:** ~250,000 MWh (2022)

Company Overview

Viru Elektrivõrgud is the second-largest electricity distribution system operator (DSO) in Estonia, serving northeastern Estonia (Narva, Narva-Jõesuu, Sillamäe) — a region of approximately 71,000 inhabitants. Beyond core electricity distribution, the company has diversified into solar energy, battery storage, EV charging infrastructure, electricity retail, and grid maintenance services.

Acquisition Rationale

BaltCap's investment thesis centres on the green energy transition in one of Estonia's most industrially significant regions:

- **Essential infrastructure** — electricity distribution is a regulated, recession-proof business with predictable cash flows and high barriers to entry
- **Green transition catalyst** — Ida-Virumaa is Estonia's oil shale region, historically dependent on fossil fuel extraction. EU climate targets require a fundamental energy transition, and the DSO is the critical infrastructure layer enabling this shift
- **Diversification into growth** — the company's expansion into solar, battery storage, and EV charging positions it to capture the full value chain of the regional energy transition
- **Regulatory tailwind** — EU Green Deal funding and Estonian national energy policy direct billions toward grid modernisation and renewable energy deployment
- **Attractive entry** — infrastructure assets in emerging European markets trade at lower multiples than equivalent Western European assets, with the potential for re-rating as the green transition progresses

Traditional PE Value Creation

- **Grid modernisation** — investing in smart grid technology to reduce transmission losses, improve reliability, and accommodate distributed renewable generation
- **Renewable energy build-out** — deploying utility-scale solar and battery storage projects on brownfield industrial sites in the oil shale region
- **EV charging network** — rolling out public and commercial EV charging stations across northeastern Estonia, capturing first-mover advantage
- **Operational excellence** — reducing outage times, optimising maintenance schedules, and centralising procurement to improve EBITDA margins
- **Regulatory engagement** — working with the Estonian regulator to secure appropriate tariffs that reflect the capital invested in grid modernisation

AI Transformation Opportunities

- **Predictive grid maintenance** — ML models analysing sensor data from 374 substations and 946 km of power lines to predict equipment failures before they cause outages, reducing maintenance costs and improving reliability
- **Demand forecasting** — AI-powered load forecasting that accounts for weather, industrial production schedules, EV charging patterns, and solar generation to optimise grid operation and reduce balancing costs
- **Smart grid optimisation** — real-time AI algorithms that balance distributed solar generation, battery storage dispatch, and grid imports to minimise energy costs and carbon emissions
- **Automated fault detection** — computer vision analysis of drone and satellite imagery to identify damaged lines, vegetation encroachment, and infrastructure deterioration
- **Customer analytics** — analysing consumption patterns of 71,000 households to identify energy efficiency opportunities, predict churn, and personalise tariff offerings

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Case Study 3: HansaMatrix — Electronics Manufacturing

Company: HansaMatrix | **Sector:** Electronics Manufacturing | **Country:** Latvia | **Investment:** April 2023 (Buyout, Active)

Company Overview

HansaMatrix is one of Northern Europe's leading manufacturers of electronic systems and components, serving the transportation, telecommunications, energy management, IoT, and medical device sectors. The company provides end-to-end electronics manufacturing services (EMS), from PCB assembly and system integration to design engineering and prototyping.

Acquisition Rationale

BaltCap identified HansaMatrix as a play on nearshoring and European supply chain resilience:

- **Nearshoring trend** — post-COVID and geopolitical disruptions have driven European OEMs to diversify manufacturing away from Asia. Latvia offers competitive labour costs, EU membership, and proximity to Nordic and Western European customers
- **Diversified end-markets** — transportation, telecoms, energy, IoT, and medical devices provide revenue stability and reduce cyclicality
- **High barriers to entry** — electronics manufacturing requires significant capital investment, quality certifications (ISO, automotive IATF), and long customer qualification cycles
- **Sticky customer relationships** — once qualified as a supplier, switching costs are high due to redesign, requalification, and supply chain integration
- **Platform for consolidation** — the Northern European EMS market is fragmented, offering buy-and-build opportunities

Traditional PE Value Creation

- **Buy-and-build** — acquiring smaller European EMS companies to expand capabilities (e.g., higher-complexity assemblies, different component specialisations) and customer access
- **Capacity expansion** — investing in new production lines and automation to increase throughput and accommodate the nearshoring wave
- **Customer diversification** — reducing concentration risk by winning new OEM contracts in high-growth sectors (EV components, renewable energy controllers, medical devices)
- **Lean manufacturing** — implementing continuous improvement methodologies to reduce scrap, improve yields, and shorten lead times
- **Vertical integration** — moving up the value chain from pure assembly to design-for-manufacturing (DfM) services, commanding higher margins

AI Transformation Opportunities

- **Automated optical inspection (AOI) with deep learning** — training computer vision models on tens of thousands of PCB images to detect solder defects, component misalignment, and surface anomalies with higher accuracy than traditional rule-based AOI systems
- **Predictive quality** — ML models correlating process parameters (temperature profiles, paste deposition, component placement accuracy) with defect outcomes to predict quality issues before they occur
- **Supply chain AI** — demand forecasting and inventory optimisation models that reduce component stockouts and excess inventory, particularly critical when lead times for electronic

components can stretch to 12+ months
- **Production scheduling optimisation** — AI-driven scheduling that balances multiple production lines, changeover times, customer priorities, and component availability to maximise throughput
- **Energy management** — monitoring and optimising energy consumption across reflow ovens, wave soldering, and cleanroom systems, reducing both costs and carbon footprint

Hypothetical Financial Scenario

The following is an illustrative analysis, not actual HansaMatrix/BaltCap financial data.

Metric	Entry (2023)	Projected exit (2028)	CAGR
Revenue	€25M	€55M	17%
EBITDA	€3.0M	€8.3M	23%
EBITDA margin	12%	15%	—
Production lines	4	7	—
Countries served	5	12	—

Buy-and-build trajectory:

Acquisition	Revenue added	EBITDA added	Multiple paid	Year
Platform (HansaMatrix)	€25.0M	€3.0M	6.5×	0
Add-on: Finnish PCB assembler	€8.0M	€1.2M	4.5×	2
Add-on: Polish EMS company	€6.0M	€0.8M	4.0×	3

Deal Economics	Value
Entry EV (6.5× EBITDA)	€19.5M
Total equity deployed (incl. add-ons)	€14.0M
Exit EV (8.5× EBITDA — scaled platform premium)	€70.6M
Exit equity (net of debt)	€56.0M
MOIC	**4.0×**
Gross IRR	**~32%**

The multiple expansion from 6.5× to 8.5× reflects the transition from a single-country EMS provider to a Northern European platform with design capabilities, automotive certification, and nearshoring positioning. A Nordic industrial group or larger PE fund focused on the reshoring trend would be a natural acquirer.

Livonia Partners

A pan-Baltic private equity fund managing €240 million across two funds. Founded in 2015, Livonia has completed 21 investments with combined portfolio revenues of over €400 million and 2,400+ employees. Fund II closed above target at €157 million. Targets enterprise values of €10–100M, investing up to €25M per company.

Case Study 4: Medicum — Private Healthcare Consolidation

Company: Medicum | **Sector:** Healthcare | **Country:** Estonia | **Investment:** 2025 (Majority stake, Active) | **Revenue:** €19.8M (2024) | **Locations:** 5 clinics

Company Overview

Medicum is one of Estonia's leading private healthcare providers, founded in 1986 — making it one of the oldest private medical institutions in the Baltics. Operating from five locations, Medicum delivers a wide range of services on a single platform: specialised medical care, rehabilitation, home nursing, and dental services.

Acquisition Rationale

Livonia Partners identified healthcare as one of the most compelling structural growth stories in the Baltics:

- **Demographic tailwind** — healthcare costs are growing exponentially in ageing Baltic societies. Estonia's median age is rising, and the public healthcare system faces capacity constraints
- **Growing private insurance market** — paid healthcare services are expanding as employers offer private health insurance as a benefit and individuals seek faster access to specialist care
- **Platform position** — Medicum's multi-service, multi-location model creates a natural platform for consolidation in a fragmented Estonian private healthcare market
- **Long operating history** — nearly 40 years of operations and brand equity. A founder buyout provides a clean transition to institutional ownership
- **ESG alignment** — healthcare is inherently aligned with social impact goals, increasingly important for LP reporting

Traditional PE Value Creation

- **Service expansion** — adding new specialities (e.g., diagnostic imaging, day surgery, mental health) to capture a larger share of patient spending
- **Geographic expansion** — opening or acquiring clinics in underserved Estonian cities (Tartu, Pärnu) to build a national network
- **Professionalisation** — installing professional management (CEO, CFO), PE-grade financial reporting, and KPI-driven operations
- **Payer mix optimisation** — increasing the share of private-pay and insurance-funded patients vs. lower-reimbursement public contracts
- **Brand and digital marketing** — modernising patient acquisition through SEO, online booking, telemedicine, and corporate wellness programmes

AI Transformation Opportunities

- **AI-assisted diagnostics** — deploying validated AI models for radiology (chest X-ray screening, mammography), dermatology (skin lesion classification), and pathology (histological analysis) to augment physician accuracy and throughput
- **Intelligent scheduling** — ML-powered scheduling that predicts appointment no-shows, optimises physician utilisation, and matches patients with the right specialist based on symptoms and history
- **Clinical documentation** — ambient AI that listens to patient consultations and generates structured medical notes, reducing physician administrative burden by 30–50%
- **Predictive patient flow** — forecasting patient volumes by speciality, day, and time to optimise staffing levels and reduce wait times
- **Population health analytics** — analysing patient data across 5 locations to identify health trends, high-risk patients, and preventive care opportunities that improve outcomes while reducing costs

Hypothetical Financial Scenario

The following is an illustrative analysis, not actual Medicum/Livonia financial data.

Metric	Entry (2025)	Projected exit (2030)	CAGR
Revenue	€19.8M	€38.0M	14%
EBITDA	€3.2M	€7.6M	19%
EBITDA margin	16%	20%	—
Locations	5	9	—
Patients per year	120K	250K	16%

Growth levers in the model: - Organic revenue growth (price + volume): 8% CAGR - 2 acquisitions (€3M revenue each): add €6M revenue, €1.0M EBITDA - New service lines (imaging, day surgery): add €4.2M revenue - Margin expansion via scale, shared services, AI-assisted scheduling

Deal Economics	Value
Entry EV (8.0× EBITDA)	€25.6M
Add-on investments	€8.0M
Total equity deployed	€18.0M
Exit EV (10.0× EBITDA)	€76.0M
Exit equity (net of debt)	€58.0M
MOIC	**3.2×**
Gross IRR	**~26%**

Healthcare commands premium exit multiples (10–12× EBITDA for scaled platforms) due to revenue predictability, demographic tailwinds, and strategic buyer appetite. A Nordic healthcare group expanding into the Baltics would be a natural acquirer.

Case Study 5: Telema — B2B Data Interchange

Company: Telema | **Sector:** Enterprise Software / EDI | **Country:** Baltics (regional) | **Investment:** Active (Fund II) | **Revenue:** €5.1M (2023) | **Employees:** 30+ | **Document Volume:** ~25M annually

Company Overview

Telema, founded in 2000, operates the leading electronic data interchange (EDI) network in the Baltic states. The company connects businesses across the supply chain, enabling automated exchange of orders, invoices, despatch advice, and other commercial documents. Processing nearly 25 million documents annually, Telema has expanded from pure EDI into accounts payable automation and broader data flow solutions.

Acquisition Rationale

Livonia Partners structured a collaborative deal with CEO Hele Hammer to buy out passive minority shareholders and transition to institutional ownership:

- **Market dominance** — Telema is the largest and most reliable EDI service provider in the Baltics, with network effects that strengthen as more trading partners connect
- **Regulatory tailwind** — EU e-invoicing mandates and government requirements for digital documentation are creating compulsory adoption, driving volume growth for the next decade
- **Recurring revenue model** — transaction-based pricing (per document processed) creates highly predictable, growing revenue with minimal churn
- **High switching costs** — once integrated into a customer's ERP system, switching EDI providers is costly and disruptive
- **Capital-light model** — a 30-person company processing 25M documents generates €5.1M revenue with strong margins and minimal capex

Traditional PE Value Creation

- **Product expansion** — building on the core EDI platform to offer broader supply chain digitalisation services: e-invoicing compliance, purchase order automation, supplier onboarding, and supply chain visibility
- **Geographic expansion** — extending the network into the Nordics and Poland, where many Baltic companies' trading partners are located
- **Enterprise upselling** — moving from basic EDI connectivity to value-added analytics and workflow automation for large retailers and manufacturers
- **Pricing modernisation** — transitioning legacy flat-rate customers to usage-based pricing that captures the value of growing document volumes
- **Strategic partnerships** — integrating with major ERP platforms (SAP, Microsoft Dynamics, Oracle) to become the default EDI provider for Baltic businesses implementing enterprise software

AI Transformation Opportunities

- **Intelligent document mapping** — AI models that automatically map diverse document formats from new trading partners to Telema's standard, reducing onboarding time from weeks to hours
- **Supply chain anomaly detection** — ML algorithms analysing 25M annual documents to identify supply chain disruptions (late deliveries, quantity discrepancies, pricing changes) in real time
- **Predictive demand analytics** — aggregating anonymised order flow data across the network to provide participating businesses with demand forecasting and trend insights
- **Automated compliance** — AI that monitors evolving e-invoicing regulations across multiple jurisdictions (EU, Nordic, CEE) and automatically adjusts document formats and validation rules
- **Natural language document processing** — enabling unstructured documents (emails, PDFs, faxes from smaller suppliers) to be automatically converted to structured EDI formats, expanding the addressable market to smaller businesses not yet on EDI

Case Study 6: Bagfactory — Sustainable Packaging Manufacturing

Company: Bagfactory | **Sector:** Manufacturing / Sustainable Packaging | **Country:** Lithuania (HQ, Vilnius) | **Investment:** 2023 (Controlling stake, Active) | **Revenue:** €10.5M

Company Overview

Bagfactory, established in 2012 in Vilnius, manufactures reusable non-woven and paper carrier bags for major European retail chains. The company has built a strong position as a supplier of sustainable alternatives to single-use plastic bags, serving some of Europe's largest grocery and general merchandise retailers.

Acquisition Rationale

Livonia Partners identified Bagfactory as a beneficiary of one of the strongest regulatory and consumer megatrends in European retail:

- **Regulatory tailwind** — EU Single-Use Plastics Directive and national legislation across Europe are systematically banning or taxing single-use plastic bags, creating mandatory demand for reusable alternatives
- **Consumer sentiment** — growing environmental awareness drives consumer preference for reusable bags, with retailers using branded reusable bags as both sustainability signalling and marketing
- **Blue-chip customer base** — supplying major European retail chains provides revenue stability and credibility
- **Founder-led with growth ambition** — founding team retained significant minority, aligned on building Bagfactory into a European leader in reusable packaging
- **Scalability** — manufacturing operations can be expanded to meet the growing wave of single-use plastic bans rolling across EU member states

Traditional PE Value Creation

- **Capacity expansion** — investing in additional production lines and potentially a second manufacturing site to meet growing demand as more EU countries enforce single-use plastic restrictions
- **Product diversification** — expanding from carrier bags into adjacent reusable packaging (produce bags, cooler bags, garment bags, e-commerce packaging) to increase revenue per customer
- **Geographic expansion** — extending sales into Southern and Eastern European markets where single-use plastic bans are being implemented with a lag
- **Material innovation** — developing new sustainable materials (recycled fabrics, bio-based non-wovens) to command premium pricing and meet retailer sustainability targets
- **Operational efficiency** — lean manufacturing, waste reduction, and energy efficiency improvements to expand margins

AI Transformation Opportunities

- **Demand forecasting** — ML models predicting order volumes from major retail customers based on seasonality, promotional calendars, regulatory timelines, and historical patterns, reducing overproduction and inventory costs
- **Quality control automation** — computer vision systems inspecting bags on the production line

for print quality, stitching defects, and material flaws at speeds impossible for human inspectors
- **Production optimisation** — AI-driven scheduling and parameter optimisation for non-woven fabric production, minimising material waste, energy consumption, and changeover times
- **Supply chain intelligence** — monitoring global raw material markets (polypropylene, recycled PET, paper pulp) and automatically adjusting procurement timing and quantities based on price predictions
- **Sustainability analytics** — automated lifecycle assessment (LCA) calculations for each product, enabling Bagfactory to provide retail customers with verified carbon footprint data per bag — increasingly required by large retailers for their Scope 3 reporting

Hypothetical Financial Scenario

The following is an illustrative analysis, not actual Bagfactory/Livonia financial data.

Metric	Entry (2023)	Projected exit (2028)	CAGR
Revenue	€10.5M	€28.0M	22%
EBITDA	€1.6M	€5.0M	26%
EBITDA margin	15%	18%	—
Countries served	8	18	—
Retail chain customers	15	35	—

Growth drivers: - Regulatory expansion: 8 more EU countries implementing single-use plastic bans during hold period - Product diversification: reusable produce bags, cooler bags, e-commerce packaging (from 1 product line to 4) - Second manufacturing facility in Poland (lower logistics costs to Central European customers) - Capacity expansion: production doubles from 40M to 80M bags/year

Deal Economics	Value
Entry EV (6.5× EBITDA)	€10.4M
Total equity deployed	€6.0M
Exit EV (8.0× EBITDA — sustainability premium)	€40.0M
Exit equity (net of debt)	€34.0M
MOIC	**5.7×**
Gross IRR	**~41%**

The sustainability premium at exit (8.0× vs. 6.5× entry) reflects Bagfactory’s evolution from a single-product Lithuanian manufacturer to a multi-product European platform uniquely positioned in the circular economy. ESG-focused strategic buyers (Scandinavian packaging groups, sustainability-mandated PE funds) would pay a premium for this positioning.

AAA Enterprises

A Lithuanian financial services group with ~€3 billion in group assets under management and over 6,000 active investors across multiple entities. The group operates across banking, asset management, venture capital, wealth advisory, and financial brokerage — with presence in Lithuania, Luxembourg, North America, and Dubai.

Case Study 7: RATO Bankas — Digital Banking in the Baltics

Company: RATO Bankas | **Sector:** Banking | **Country:** Lithuania | **Deposits:** €120M+ | **Loans Issued:** €105M+ | **Total Assets:** €100M+

Company Overview

RATO Bankas is a licensed European bank providing deposit, lending, payment, and daily banking services to private individuals and business clients in Lithuania. As part of the AAA Enterprises group, RATO benefits from the group's broader financial ecosystem while operating as a standalone regulated entity under European Central Bank supervision.

Acquisition / Building Rationale

AAA Enterprises built RATO Bankas as part of its strategy to create a vertically integrated financial services ecosystem:

- **Regulatory moat** — a full European banking licence is one of the strongest barriers to entry in financial services, particularly in Lithuania where the ECB and Bank of Lithuania enforce rigorous capital, compliance, and governance requirements
- **Deposit franchise** — €120M+ in deposits provides a stable, low-cost funding base for lending activities
- **Ecosystem synergies** — deposits from the group's wealth management and asset management clients flow into the bank, while the bank provides payment infrastructure for the group's fund operations
- **Lithuania's fintech hub** — Lithuania has become the EU's second-largest fintech licensing jurisdiction (after the UK pre-Brexit), creating a supportive regulatory environment and talent pool
- **Scale potential** — with €100M+ in total assets, RATO is positioned to grow through digital acquisition and cross-border passporting of its EU banking licence

Traditional PE Value Creation

- **Digital-first banking** — investing in a modern digital banking platform to reduce branch costs and attract tech-savvy SME and retail customers across the EU via licence passporting
- **Lending growth** — expanding the loan book into high-margin niches: SME lending, trade finance, and real estate development loans, leveraging the group's deal flow
- **Fee income** — developing non-interest income streams: payment processing, foreign exchange, treasury services, and white-label banking infrastructure for fintechs
- **Cost efficiency** — migrating to cloud-based core banking, automating compliance processes, and centralising back-office functions with the broader AAA group
- **Cross-border expansion** — using EU passporting to offer deposit and lending products in Latvia, Estonia, and other EU markets without additional licensing

AI Transformation Opportunities

- **Credit scoring with alternative data** — ML models that augment traditional credit scoring with real-time business data (bank transaction patterns, accounting software feeds, tax filings) to underwrite SME loans faster and more accurately
- **AML / KYC automation** — AI-powered customer screening, transaction monitoring, and suspicious activity detection that reduces compliance costs while improving detection rates — critical for a bank in Europe's most active fintech licensing jurisdiction
- **Personalised banking** — recommendation engines that analyse customer transaction patterns and life events to proactively offer relevant financial products (savings, loans, insurance)
- **Chatbot and service automation** — AI-powered customer service handling routine queries (balance checks, transaction disputes, card management) in Lithuanian, English, and Russian, reducing call centre costs
- **Risk management** — real-time portfolio monitoring with ML models predicting loan defaults, concentration risks, and liquidity needs, enabling proactive risk mitigation

Hypothetical Financial Scenario

The following is an illustrative analysis for a banking growth equity deal, not actual RATO/AAA financial data.

Metric	Current	Projected (Year 5)	CAGR
Total assets	€100M	€250M	20%
Loan book	€105M	€200M	14%
Deposits	€120M	€280M	18%
Net interest income	€4.5M	€11.0M	20%
Fee income	€1.2M	€3.5M	24%
Total revenue	€5.7M	€14.5M	21%
Cost/income ratio	72%	55%	—
Pre-tax profit	€1.6M	€6.5M	32%

Banking valuation: Banks are valued on Price/Book (P/B) and Price/Earnings (P/E) rather than EV/EBITDA:

Metric	Entry	Exit
Book value	€15M	€30M
P/B multiple	0.8×	1.4×
Implied equity value	€12M	€42M
Growth equity invested (30% stake)	€3.6M	—
Exit proceeds (30% stake)	—	€12.6M
MOIC		**3.5×**

The P/B re-rating from 0.8× to 1.4× reflects the transformation from a traditional Lithuanian bank to a digitally-enabled EU banking platform with fintech partnerships and cross-border ambitions.

Case Study 8: Orion — Investment Banking & Wealth Platform

Company: Orion | **Sector:** Investment Banking & Wealth Management | **Country:** Lithuania | **Licensed since:** 1993 | **Custody/Administration Value:** €2.1B+ | **Revenue:** €6.2M | **NAV Under Custody:** €580M

Company Overview

Orion is a full-scope EU investment firm — one of the longest-established in the Baltics, holding a licence since 1993. The firm offers brokerage, investment banking (M&A advisory, capital markets), private banking, asset management, securities services, and fund custodian/depositary services. With over €2.1 billion in assets under custody and administration, Orion is a critical piece of the Baltic financial infrastructure.

Building Rationale

AAA Enterprises developed Orion as the investment banking and securities infrastructure pillar of its financial ecosystem:

- **Infrastructure monopoly dynamics** — fund depositary and custodian services in the Baltics are provided by a small number of licensed firms. Once funds are onboarded, switching costs are extremely high (regulatory re-approval, investor notification, systems migration)
- **Three-decade track record** — continuous operation since 1993 through multiple economic cycles (including the 2008 crisis and COVID) demonstrates institutional resilience
- **Revenue diversification** — six distinct business lines (brokerage, IB, private banking, asset management, securities services, depositary) provide stability and cross-selling
- **Group synergies** — Orion serves as custodian and depositary for AAA's own fund management entities, guaranteeing a base level of assets and fees
- **Capital markets development** — as Baltic capital markets deepen and more companies seek IPOs or bond issuances, Orion's investment banking franchise is positioned to capture deal flow

Traditional PE Value Creation

- **Digital wealth platform** — building a modern digital interface for private banking and brokerage clients, competing with neobrokers on user experience while offering institutional-grade services
- **Investment banking expansion** — growing the M&A advisory practice by leveraging the group's PE deal flow and cross-border relationships (Luxembourg, Nordics)
- **Depositary scale** — actively marketing depositary services to the growing number of fund managers licensing in Lithuania, capturing a larger share of custody fees
- **Regional expansion** — extending wealth management and brokerage services to Latvian and Estonian clients through EU passport
- **Operating leverage** — technology investment to automate settlement, reconciliation, and reporting, improving margins as AUM grows

AI Transformation Opportunities

- **AI-powered research** — natural language processing of earnings calls, regulatory filings, news, and social media to generate investment insights for private banking clients and M&A teams
- **Portfolio optimisation** — ML-driven portfolio construction that incorporates real-time market data, risk factors, and client constraints to suggest optimal allocations
- **Automated compliance and reporting** — AI systems generating MiFID II suitability reports,

transaction reports, and regulatory filings, reducing the compliance burden that scales linearly with AUM
- **Client intelligence** — analysing client behaviour patterns to predict churn risk, identify cross-selling opportunities, and personalise service levels
- **Deal sourcing for IB** — NLP models scanning corporate filings, ownership changes, and management transitions across the Baltics to identify potential M&A targets and seller-ready businesses

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Case Study 9: 1 Asset Management — Alternative Investment Platform

Company: 1 Asset Management | **Sector:** Alternative Fund Management | **Country:** Lithuania & Luxembourg | **AUM:** ~€750M | **Funds:** 12 | **Clients:** 500+ HNWIs

Company Overview

1 Asset Management is an EU-licensed alternative investment fund manager (AIFM) implementing niche investment strategies globally — spanning Central and Eastern Europe, the Nordics, and Canada. The platform manages 12 investment funds with approximately €750 million in assets, serving over 500 high-net-worth individual clients. The Luxembourg entity (CSSF-authorised AIFM) serves as a hub for regulated funds distributed to international investors across ~80 countries.

Building Rationale

AAA Enterprises created 1 Asset Management to capture the growing institutional appetite for alternative investments in the Baltic-Nordic corridor:

- **Dual-jurisdiction advantage** — the Lithuania + Luxembourg structure combines Lithuania's cost-efficient operations with Luxembourg's gold-standard fund domiciliation, providing global distribution capability
- **Alternative investment growth** — allocations to alternatives are growing across all investor segments (institutional, HNWI, family offices), driven by low real yields in traditional fixed income
- **Niche strategy focus** — rather than competing with global asset managers in traditional strategies, 1AM targets underserved niches: Baltic/CEE real estate, Canadian student housing, and bespoke credit strategies
- **Distribution network** — 500+ HNWI clients and relationships across ~80 countries provide a captive distribution channel for new fund launches
- **Regulatory infrastructure** — AIFM licences in both Lithuania (ESMA) and Luxembourg (CSSF) are expensive to obtain and maintain, creating a barrier for competitors

Traditional PE Value Creation

- **AUM growth** — launching new funds in adjacent strategies (Baltic infrastructure, Nordic credit, impact investing) to grow AUM toward €1 billion+
- **Institutional capital** — pivoting from primarily HNWI capital to attracting pension funds, endowments, and insurance companies, which invest larger tickets and have longer time horizons
- **Operational efficiency** — centralising fund administration, investor reporting, and compliance across the 12 funds to improve the cost-to-AUM ratio
- **Performance fees** — ensuring fund performance exceeds hurdle rates to generate carried interest / performance fees, which are the highest-margin revenue stream
- **Digital distribution** — building a digital investor portal with real-time reporting, document

management, and capital call processing to reduce onboarding friction and improve the investor experience

AI Transformation Opportunities

- **AI-driven fund analytics** — automated performance attribution, risk decomposition, and factor analysis across 12 funds and multiple asset classes, replacing manual quarterly reporting with real-time dashboards
- **Investor matching** — ML models that match fund opportunities with investor profiles (risk tolerance, geography, sector preferences, ticket size) to improve capital raising efficiency
- **Document automation** — AI processing of fund subscription documents, KYC/AML documentation, and investor questionnaires, reducing onboarding time from days to hours
- **Alternative data for investment decisions** — integrating satellite imagery, web scraping, social media sentiment, and real-time economic indicators into investment models for CEE real estate and credit strategies
- **Regulatory compliance AI** — automated monitoring of evolving AIFMD, MiFID II, and cross-border distribution regulations across ~80 countries, flagging required changes to fund documentation and marketing materials

Hypothetical Financial Scenario

The following is an illustrative analysis for an asset management growth equity deal, not actual 1AM/AAA financial data.

Asset managers are valued differently from industrial companies — the key metric is **% of AUM** or **earnings multiple on fee-related earnings (FRE)**.

Metric	Current	Projected (Year 5)	CAGR
AUM	€750M	€1,500M	15%
Management fee revenue (1.2% avg.)	€9.0M	€18.0M	15%
Performance fees (avg. year)	€2.0M	€5.0M	20%
Total revenue	€11.0M	€23.0M	16%
Operating costs	€7.0M	€11.5M	10%
FRE (fee-related earnings)	€4.0M	€11.5M	24%
FRE margin	36%	50%	—
Funds managed	12	18	—

Growth levers: - 3 new fund launches (Baltic infrastructure, Nordic credit, impact investing): +€300M AUM - Organic AUM growth from existing funds: 8% CAGR - Institutional investor onboarding: 2 pension funds adding €150M combined - Operating leverage: costs grow at 10% while AUM grows at 15%

Valuation:

Metric	Entry	Exit
AUM	€750M	€1,500M
% of AUM valuation	3.0%	4.0%
Implied equity value	€22.5M	€60.0M

Alternative: FRE multiple	8.0×	10.0×
Implied equity value (FRE)	€32.0M	€115.0M

The FRE multiple approach yields a much higher valuation because it captures the operating leverage in the business — costs grow slower than revenue at scale. For a growth equity investor taking a 25% stake:

Metric	Value
Entry (25% of €22.5M)	€5.6M
Exit (25% of €60M, AUM-based)	€15.0M
MOIC	**2.7×**
Gross IRR	**~22%**

Asset management valuations are highly sensitive to performance. In a strong market, performance fees lift returns significantly; in a weak market, AUM declines can reduce management fees. The dual Lithuania-Luxembourg structure provides regulatory resilience that supports the premium valuation.

Part III: AI Transformation in Private Equity

The Curonia Capital Thesis

Curonia Capital represents a new generation of PE investors that place AI transformation at the centre of their value creation playbook. Their €50M growth equity fund targets founder-led Baltic SMEs and deploys a proprietary AI playbook as a core value creation lever.

Four Pillars

1. **AI Playbook** — an in-house engineering team deploys proprietary AI models to traditional businesses with high-volume document workflows, structured data, and repetitive administrative tasks. Solutions are implemented within months, not years, without relying on external consultants.

2. **Founder Partnership** — targeting Baltic entrepreneurs aged 55–65 who built businesses without institutional backing. Minority growth equity stakes allow founders to retain majority control while accessing capital for expansion and professionalisation.

3. **Selective Consolidation** — addressing the fragmented Baltic mid-market (hundreds of companies with €2–20M revenue) through strategic bolt-on acquisitions, then expanding regionally into Nordics, Poland, and CEE to build scaled platforms.

4. **Visible Exit** — mapping credible acquirer sets (regional strategics, larger PE consolidators, international corporates) before investing, ensuring multiple competing buyers at exit.

Deal Criteria

Parameter	Range
Entry valuation	3–6× EBITDA (cash-generative) or 3–5× ARR (SaaS)
Check size	€2–5M
Target profile	Proven model, recurring revenue, AI-enabled upside
Geography	Baltics → Nordics, Poland, CEE
Sectors	Healthcare, education, technology, services

Why AI Matters for PE

The Operational Improvement Paradigm Shift

Traditional PE value creation — procurement savings, headcount optimisation, pricing adjustments — has been practiced for decades and is increasingly commoditised. The marginal gains from another round of lean manufacturing or SG&A cuts are shrinking.

AI represents a step-change in what is possible:

Traditional lever	AI-enhanced lever	Impact
Hire more salespeople	AI-qualified lead scoring + automated outreach	3–5× pipeline efficiency
Negotiate procurement savings	AI-optimised purchasing timing + supplier scoring	10–15% additional savings
Expand customer service team	AI chatbot + sentiment routing	50–70% query automation
Manual quality inspection	Computer vision defect detection	2–3× throughput, fewer escapes
Quarterly financial reporting	Real-time AI-generated dashboards	Faster decisions, less FTE
Spreadsheet-based forecasting	ML-driven demand/revenue forecasting	30–50% forecast accuracy gain

The Baltic Advantage

The Baltics are uniquely positioned for AI-driven PE value creation:

- **Digital infrastructure** — Estonia's e-governance, Lithuania's fintech ecosystem, and Latvia's IT sector mean high digital literacy and strong engineering talent
- **Lower labour costs** — AI implementations that might not generate sufficient ROI in Western Europe (where they automate €60K/year workers) are compelling in the Baltics (€20–30K/year), because the AI cost is similar but the percentage efficiency gain is larger relative to overall cost structures
- **Greenfield opportunity** — most Baltic SMEs have not yet adopted AI, creating a first-mover advantage for PE funds that bring AI capabilities
- **University pipeline** — Tartu, Vilnius, and Riga universities produce strong computer science and data science graduates at competitive salaries

Practical AI Implementation Playbook

For PE practitioners looking to deploy AI in portfolio companies, here is a phased approach:

Phase 1: Foundation (Months 1–3)

- Audit existing data assets (CRM, ERP, operational systems)
- Identify high-volume, repetitive processes suitable for automation
- Clean and centralise data into a modern data warehouse

- Quick wins: deploy off-the-shelf AI tools (document processing, chatbots)

Phase 2: Custom Models (Months 3–9)

- Build custom ML models for company-specific use cases (demand forecasting, quality prediction, pricing optimisation)
- Integrate AI outputs into existing workflows and decision processes
- Measure ROI rigorously: hours saved, errors reduced, revenue impact

Phase 3: Competitive Moat (Months 9–18)

- Develop proprietary data assets that improve with scale (e.g., Fitek's 150M invoice database)
- Build AI-powered products or features that differentiate the company from competitors
- Create network effects where more data → better models → more customers → more data

Phase 4: Exit Positioning (Months 12–24)

- Quantify AI-driven EBITDA improvement for buyer presentations
- Position the company as "AI-native" to command a technology premium on exit
- Document AI capabilities and IP for buyer due diligence

Worked Example: AI ROI in a Portfolio Company

Company: A Baltic B2B distributor with €20M revenue, €3M EBITDA, 85 employees.

AI investments and returns over 24 months:

AI Initiative	Investment	Annual EBITDA impact	Payback	How
Demand forecasting (ML)	€60K	+€180K	4 months	Reduced overstock 25%, fewer stockouts → higher fill rate
Invoice processing (OCR + NLP)	€40K	+€120K	4 months	3 AP clerks → 1 AP clerk + AI. Two clerks redeployed to customer service
Chatbot for order status	€25K	+€80K	4 months	Handles 60% of inbound calls. Freed 1.5 FTE for outbound sales
Dynamic pricing engine	€80K	+€250K	4 months	Real-time competitor monitoring + margin optimisation. 1.2%

				revenue uplift
Predictive maintenance (warehouse)	€35K	+€60K	7 months	30% reduction in unplanned equipment downtime
Customer churn prediction	€30K	+€150K	2 months	Identified at-risk accounts 6 months early. Retained €1.5M in annual revenue
Total	**€270K**	**+€840K**	**4 months**	

Ai Roi

Impact on valuation:

Metric	Pre-AI	Post-AI (Year 2)	Change
Revenue	€20.0M	€21.5M	+7.5%
EBITDA	€3.0M	€3.84M	+28%
EBITDA margin	15.0%	17.9%	+290 bps
EV at 7.0× EBITDA	€21.0M	€26.9M	+€5.9M
EV at 8.0× (AI premium)	—	€30.7M	+€9.7M

The €270K AI investment generated €5.9M–€9.7M in enterprise value — a 22–36× return on the AI spend. This is why AI-native PE strategies like Curonia Capital's are so compelling: the cost of AI implementation is trivial relative to the valuation impact.

AI Due Diligence: What to Assess

When evaluating a target's AI readiness or an existing portfolio company's AI potential, assess:

Dimension	Questions	Scoring
Data quality	Is data digital, structured, centralised? How clean is it?	1–5
Data volume	Does the company process high volumes of documents, transactions, or interactions?	1–5
Process repeatability	Are there high-volume, rule-based processes that humans currently perform?	1–5
IT infrastructure	Modern ERP/CRM? Cloud-based? APIs available?	1–5
Team readiness	Is management open to AI? Any technical talent in-house?	1–5
Competitive landscape	Have competitors adopted AI? Is there a first-mover advantage?	1–5

Interpretation: - **Score 25–30:** Excellent AI readiness. Expect significant EBITDA impact within 12 months. - **Score 18–24:** Good potential. Foundation work needed (data cleanup, ERP upgrade) before AI deployment. - **Score 12–17:** Moderate potential. Significant infrastructure investment required. 18–24 month timeline. - **Score <12:** Limited near-term AI potential. Focus on basic digitalisation first.

The AI Premium at Exit

Buyers increasingly pay a premium for companies with embedded AI capabilities. The premium manifests in three ways:

1. **Higher multiple** — a traditional distributor exits at 6–7× EBITDA; one with AI-driven pricing, forecasting, and customer intelligence exits at 8–9×. The buyer is paying for the technology moat, not just the current earnings.

2. **Strategic premium** — a technology company acquiring a traditional business for its data and AI capabilities (acqui-hire + data play). We see this increasingly in healthcare, logistics, and financial services.

3. **Defensibility premium** — AI creates switching costs. A customer using your AI-powered platform for demand forecasting, automated ordering, and predictive analytics is much harder to displace than one using your basic ordering portal. This customer stickiness translates directly into higher recurring revenue and lower churn — both drivers of exit multiples.

Glossary

Term	Definition
AUM	Assets Under Management — the total market value of assets a firm manages on behalf of clients
Bolt-on	A smaller acquisition made by a platform company to add capabilities, customers, or geography
Carry / Carried Interest	The GP's share of fund profits (typically 20%) above the hurdle rate
Co-investment	LPs investing directly alongside the fund in a specific deal, typically with reduced fees
DPI	Distributions to Paid-In — measures how much cash has been returned to LPs relative to capital invested
Dry Powder	Committed but undeployed capital available for investment
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortisation — the standard PE profitability measure
Enterprise Value (EV)	Market value of equity + net debt — represents the total value of the business
Fund of Funds	A fund that invests in other PE funds rather than directly in companies
GP	General Partner — the fund manager who makes investment decisions
Hurdle Rate	The minimum return (typically 8%) that must be achieved before the GP earns carry
IRR	Internal Rate of Return — the annualised return that accounts for the timing of cash flows
J-Curve	The characteristic pattern of negative early returns followed by positive later returns in a PE fund
LBO	Leveraged Buyout — acquiring a company using significant debt financing
LP	Limited Partner — an investor in a PE fund who provides capital but does not manage investments
MOIC	Multiple on Invested Capital — total value returned divided by total capital invested
Multiple Arbitrage	Buying at a low valuation multiple and selling at a higher one
Platform Company	The initial acquisition in a buy-and-build strategy, onto which bolt-ons are added
QoE	Quality of Earnings — a DD report that adjusts reported EBITDA for non-recurring and non-operational items
SPA	Share Purchase Agreement — the definitive legal agreement governing an acquisition
TVPI	Total Value to Paid-In — unrealised value + distributions, divided by paid-in capital
Vintage Year	The year in which a PE fund makes its first investment
WACC	Weighted Average Cost of Capital — the blended cost of debt and equity used to discount cash flows

Appendix A: Anatomy of a Deal — Full Timeline

This appendix walks through a complete PE transaction from first contact to exit, using the hypothetical acquisition of **BalticMed**, an Estonian dental clinic chain, by **Nordic Health Partners** (a fictitious mid-market PE fund). Every phase includes the key documents, decisions, and financial considerations that a business owner or financial professional would encounter.

Phase 1: Origination (Months 1–3)

Month 1: First contact. Nordic Health Partners' deal team has been mapping the Baltic healthcare market for six months. They identify BalticMed — a chain of 8 dental clinics across Estonia with €6.5M revenue and €1.3M EBITDA — as a potential platform investment. The fund's operating partner (a former healthcare CEO) arranges an informal coffee meeting with BalticMed's founder, Dr. Karin Tamm, who is 61 and beginning to think about succession.

Month 2: Preliminary discussions. Dr. Tamm is interested but cautious. She has three key concerns: 1. She wants to remain as Chief Medical Officer for at least 3 years 2. She wants fair value for 25 years of building the business 3. She needs assurance that patient care standards won't be compromised

The fund shares case studies of similar healthcare investments and introduces Dr. Tamm to a CEO they previously backed in a Nordic dental group.

Month 3: Indicative offer. The fund submits a non-binding indicative offer:

Term	Detail
Enterprise value	€9.1M (7.0× LTM EBITDA)
Structure	100% equity acquisition
Funding	€4.0M equity + €5.1M senior debt
Management retention	Dr. Tamm stays as CMO, receives 10% equity pool
Exclusivity	8 weeks for due diligence
Conditions	Satisfactory DD, regulatory approval

Dr. Tamm's M&A advisor (a local corporate finance boutique) pushes for 7.5× EBITDA and a 12% equity pool. They settle on 7.2× and 11%.

Phase 2: Due Diligence (Months 4–5)

The fund engages: - **Financial DD** — Big 4 firm reviews 3 years of financials. Key finding: €180K of personal expenses run through the business (Dr. Tamm's car, family mobile phones, personal travel). EBITDA is adjusted upward to €1.48M. - **Commercial DD** — strategy consultant confirms that Estonian dental market is growing at 6% annually, BalticMed has 12% market share in its cities, and private dental spending correlates strongly with GDP per capita growth. - **Legal DD** — law firm reviews all clinic leases (4 owned, 4 rented), employment contracts (52 employees), patient data compliance (GDPR), and medical licences. One lease has an unfavourable renewal clause — flagged for SPA negotiation. - **Tax DD** — confirms clean tax history. Estonia's 0% retained earnings tax is favourable for the hold period. - **IT DD** — discovers that patient records are on an outdated system with limited analytics capability. Flagged as both a risk (data migration needed) and an opportunity (AI-powered scheduling and analytics post-acquisition).

Adjusted financials:

Metric	Reported	Adjusted	Notes
Revenue	€6.5M	€6.5M	No adjustment
EBITDA	€1.30M	€1.48M	Add-back: owner perks €180K
Net working capital	€0.2M	€0.15M	Normalised
Capex (maintenance)	€0.3M	€0.35M	Includes deferred equipment replacement
Free cash flow	€1.0M	€1.13M	After normalisation

Phase 3: Structuring & Closing (Months 5–7)

Sources & uses:

Sources	€M		Uses	€M
Senior term loan (3.5× adj. EBITDA)	5.2		Enterprise value (7.2× × €1.48M)	10.7
Equity — fund	5.1		Transaction costs	0.5
Equity — management (Dr. Tamm)	0.3		Debt arrangement fees	0.2
Equity — management pool (unvested)	0.6		Cash to balance sheet	0.2
Capex facility (undrawn)	0.4			
Total	**11.6**		**Total**	**11.6**

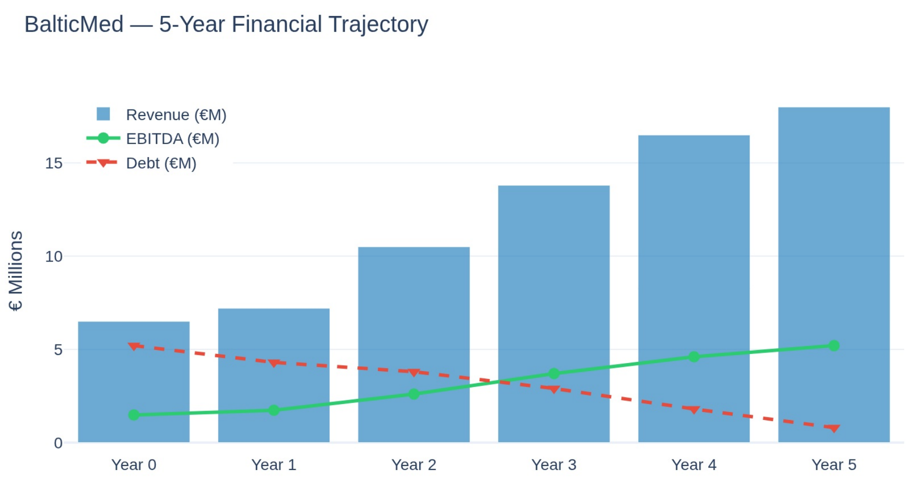
Key SPA provisions negotiated: - Warranty cap: 20% of purchase price (€2.1M), 18-month survival period - W&I insurance policy: €5M coverage, buyer pays premium (€80K) - Earn-out: €0.5M payable if Year 1 EBITDA exceeds €1.6M (incentivises Dr. Tamm's continued engagement) - Lease issue: seller indemnifies buyer for €200K against the unfavourable renewal clause - Locked box mechanism: price based on 31 December accounts, no leakage permitted post-locked box date

Closing: Month 7. All conditions satisfied. €10.7M wired to Dr. Tamm (minus escrow of €0.5M held for 12 months). Dr. Tamm nets approximately €10.2M after taxes and advisor fees — life-changing liquidity from a business she could never have sold for this price to a local competitor.

Phase 4: The First 100 Days (Months 7–10)

Week	Action	Impact
1–2	Board established (3 fund + 2 independent + Dr. Tamm). Hire interim CFO	Governance in place
2–4	Install monthly reporting pack: revenue by clinic, patient volumes, NPS, staff utilisation	Visibility
4–6	Procurement review: consolidate dental supply purchases across 8 clinics	Quick win: €80K annual savings
6–8	Launch patient booking app + online scheduling	Digital presence, reduce no-shows
8–10	Initiate search for full-time CEO (Dr. Tamm transitions to CMO)	Professionalisation
10–12	Engage dental clinic chain in Riga for potential add-on acquisition	Buy-and-build pipeline
12+	Begin ERP/CRM implementation	Data foundation for AI

Phase 5: Value Creation (Years 1–5)



Balticmed Trajectory

Year-by-year financial trajectory:

Metric	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5
Clinics	8	8	11	13	15	15
Revenue (€M)	6.5	7.2	10.5	13.8	16.5	18.0
EBITDA (€M)	1.48	1.73	2.6	3.7	4.6	5.2
Margin	23%	24%	25%	27%	28%	29%
Debt balance (€M)	5.2	4.3	3.8	2.9	1.8	0.8

Value creation breakdown: - **Organic growth** (8% CAGR): new services (orthodontics, implants), price increases, marketing - **Add-on acquisitions**: 2 clinic chains in Latvia (Year 2, 3 clinics, €3M revenue) and Lithuania (Year 3, 2 clinics, €2.5M revenue) at 4–5× EBITDA - **Margin expansion**: centralised procurement, shared back-office, digital scheduling reducing no-shows - **AI deployment** (Year 3+): AI-assisted diagnostic imaging, predictive patient scheduling, automated insurance claims processing

Phase 6: Exit (Year 5)

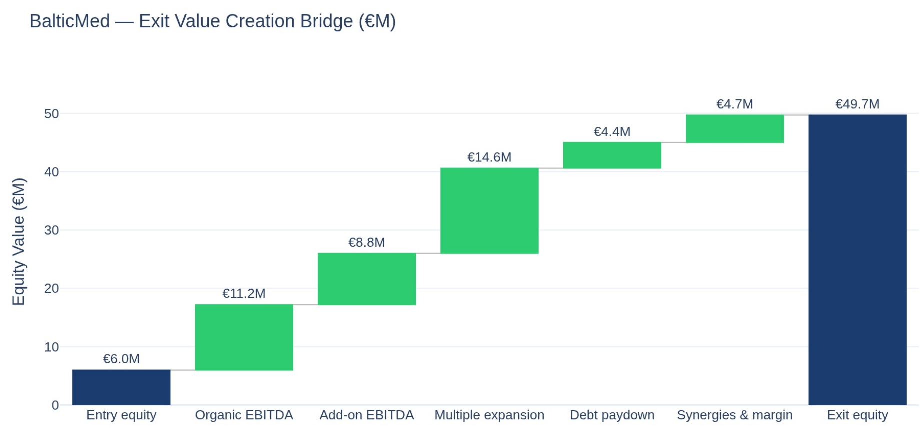
Exit process: - Month -18: fund hires an investment bank to explore strategic options - Month -12: vendor due diligence commissioned. Information memorandum drafted - Month -6: structured sale process launched. 35 potential buyers contacted (15 strategic, 20 financial) - Month -3: 8 indicative offers received. 4 invited to final round - Month -1: binding offers from 2 Nordic healthcare groups and 1 larger PE fund

Winning bid: NordicDent Group (Swedish dental chain) offers 10.0× EBITDA:

Metric	Value
Exit EBITDA	€5.2M
Exit EV (10.0×)	€52.0M
Less: remaining debt	€0.8M
Less: transaction costs	€1.5M
Equity proceeds	€49.7M

Return analysis:

Participant	Invested	Proceeds	MOIC	IRR
Fund	€5.1M	€39.0M	7.6×	51%
Dr. Tamm (purchased equity)	€0.3M	€2.5M	8.3×	53%
Management pool	€0.0M	€5.5M	n/a	n/a
Earn-out (Year 1, achieved)	—	€0.5M	—	—
Dr. Tamm total (sale + equity + earn-out)	—	€13.2M	—	—



Exit Bridge

Value creation bridge (€M):

Source	€M	%

EBITDA growth organic	11.2	26%
EBITDA from add-ons	8.8	20%
Multiple expansion (7.2× → 10.0×)	14.6	33%
Debt paydown	4.4	10%
Synergies & margin expansion	4.7	11%
Total equity value created	**43.7**	**100%**

The deal illustrates every PE lever at work: organic growth, buy-and-build, margin expansion, multiple expansion (driven by scale, geographic diversification, and the “Nordic healthcare platform” positioning), and leverage.

For Dr. Tamm, the total outcome — €10.2M at entry plus €3.0M over the hold period (equity proceeds + earn-out) — exceeded what any local buyer could have offered, while preserving the clinics’ identity and her colleagues’ jobs.

Appendix B: PE Terminology Quick Reference for Business Owners

If you are a business owner considering a PE transaction for the first time, this section translates the most common PE jargon into plain language.

“They want to do DD on us.” — They want to inspect your company thoroughly before buying: financials, contracts, employees, IT systems, legal compliance. Think of it as a comprehensive health check. Budget 6–8 weeks and significant management time.

“The offer is 6× EBITDA.” — They will pay six times your annual profit (before interest, taxes, depreciation, and amortisation). If your EBITDA is €2M, the offer is €12M for the whole company. This is the enterprise value — your actual cash proceeds will be this minus any company debt, plus any excess cash.

“They want a locked box.” — The price is fixed based on a specific historical date (e.g., 31 December). Between that date and closing, you cannot take unusual dividends, bonuses, or payments out of the company (“no leakage”). This is generally seller-friendly because the price is certain.

“They’re proposing completion accounts.” — The price will be adjusted after closing based on the actual net debt and working capital at the closing date. This can lead to post-closing disputes. Less seller-friendly than locked box.

“They want to put in sweet equity for management.” — Key managers (possibly including you) will receive shares at a very low price that become very valuable if the business performs well. This is how PE aligns incentives — your upside is tied to the company’s success under PE ownership.

“There’s a ratchet at 3× MOIC.” — If the PE fund makes more than 3× their money, your share of the company increases. This is a reward mechanism for outperformance.

“You’ll be subject to good leaver / bad leaver provisions.” — If you leave voluntarily or are fired for cause before a certain date, you lose some or all of your shares (bad leaver). If you leave due to retirement, health, or at the fund’s request, you keep your shares at fair value (good leaver). Negotiate these terms carefully.

“We’d like you to roll over 20% of your proceeds.” — Instead of receiving 100% cash at closing, you reinvest 20% back into the company alongside the PE fund. This shows alignment and gives you upside on the next exit. The tax treatment can be favourable (no tax event on the rolled portion until the second exit).

“The fund has an 8% hurdle.” — The fund manager only earns their performance fee (carried interest) after delivering at least 8% annual return to their investors. This protects investors from paying performance fees on mediocre returns.

“They’re looking at this as a platform for buy-and-build.” — They plan to use your company as the foundation, then acquire 3–5 smaller competitors to create a larger group. Your company gets the strategic benefit (more customers, better purchasing power) and the combined group is worth more than the sum of its parts.

“Exit in 3–5 years.” — PE funds don’t hold companies forever. They plan to sell to a larger company, another PE fund, or take the company public within 3–5 years. If you’re staying, understand that a second exit is part of the plan.

Appendix C: Frequently Asked Questions for Business Owners

"How long does a PE deal take from start to finish?"

Typically 4–9 months from initial discussions to closing. The timeline breaks down roughly as: 1–2 months of preliminary discussions and indicative offer, 6–8 weeks of due diligence, and 4–6 weeks of negotiation and closing. Complex deals with regulatory approvals can take 12+ months. The fastest deals (where DD is clean and both parties are aligned) can close in 3–4 months.

"What happens to my employees after a PE acquisition?"

In the vast majority of mid-market buyouts, PE funds retain and invest in the existing team. Employees are the company's most valuable asset, and mass layoffs would destroy the very value the fund paid for. What typically changes: a professional CFO may be hired, reporting structures are formalised, key employees receive retention bonuses or equity incentives, and underperforming managers may be replaced over 12–18 months. In buy-and-build scenarios, duplicate back-office functions (HR, finance, IT) across the combined companies may be consolidated — but front-line employees usually grow in number as the business expands.

"Will my company's name and brand change?"

Usually not. PE funds understand that the brand, customer relationships, and market reputation are core assets. Name changes are rare and typically only happen in rebranding exercises where the company is deliberately repositioned (e.g., combining three regional brands into one national platform).

"How much of my company do I have to sell?"

It depends on the type of PE deal:

Deal type	Typical stake sold	Who retains control
Full buyout	80–100%	PE fund
Majority buyout with rollover	60–80% (seller rolls 20–40%)	PE fund, seller has board seat
Growth equity	20–49%	Founder/seller retains majority
Recapitalisation	30–60%	Varies

Growth equity deals (like Curonia Capital's model) allow founders to take significant cash off the table — diversifying personal wealth — while retaining control. Full buyouts provide maximum liquidity but the founder typically transitions to an advisory or CMO-type role.

"What if the PE fund runs my company into the ground?"

This is the most common fear, and it's largely unfounded in the mid-market. The PE fund's economic interests are perfectly aligned with the company's success: they make money only if the company grows in value. A fund that destroys companies gets no carry, can't raise a next fund, and its partners' reputations are ruined. That said, PE ownership is intense — there will be more reporting, more governance, faster decision-making, and less tolerance for underperformance. Some founders find this energising; others find it exhausting. Be honest with yourself about which camp you fall into.

"How is the purchase price determined?"

The price is typically expressed as a multiple of EBITDA (Earnings Before Interest, Taxes, Depreciation, and Amortisation). For Baltic mid-market companies, typical multiples are 4–8× EBITDA. The specific multiple depends on:

- **Industry** — technology and healthcare command higher multiples (8–12×) than manufacturing or logistics (4–7×)
- **Growth rate** — faster-growing companies command higher multiples
- **Market position** — market leaders command a premium
- **Recurring revenue** — subscription or contract-based businesses trade at a premium
- **Process competitiveness** — a competitive auction generates higher prices than a bilateral negotiation

Your M&A advisor's most important job is to create competitive tension among buyers — even a 0.5× multiple uplift on €2M EBITDA is worth €1M.

"Do I need an M&A advisor?"

Yes. The cost (2–5% of transaction value, with a minimum fee of €100–300K) is significant, but the advisor typically generates 1–3× their fee in higher price and better terms. Specifically, an advisor:

- Creates competitive tension (even if you only want to talk to one buyer, the buyer should believe there are others)
- Manages the DD process (protecting your time and your team's time)
- Negotiates terms you don't know to negotiate (working capital mechanisms, earn-out structures, warranty caps)
- Provides emotional buffer (negotiations get tense; having a professional intermediary prevents relationship damage)

For a €10–30M deal, use a boutique corporate finance firm with mid-market experience — they'll care about your deal more than a bulge bracket bank, and their fees are lower.

"What are the tax implications of selling?"

This varies significantly by country:

Country	Capital gains tax	Key considerations
Estonia	20% on distribution	If shares held personally; 0% in holding company structure
Lithuania	15% standard	Participation exemption may apply for qualifying holdings
Latvia	20% on distribution	Similar to Estonian model

Critical planning point: The structure of the sale (asset sale vs. share sale, personal vs. holding company, timing of distribution) can make a difference of 5–15% of net proceeds. Engage a tax advisor specialising in M&A transactions 6–12 months before the sale. The cost (€5–20K) pays for itself many times over.

"Can I stay involved after the sale?"

Yes, and PE funds often want you to. Common post-sale roles:

- **CEO / Managing Director** — full operational leadership, typically for 2–3 years (with equity incentives)
- **Chief Medical/Technical/Commercial Officer** — domain leadership without administrative burden
- **Board member** — strategic oversight, typically 1 day/month
- **Advisor / consultant** — specific projects, customer relationships, industry connections

Each role comes with different equity packages, time commitments, and exit flexibility. Negotiate these terms carefully before closing — they're much harder to change afterwards.

"What if I change my mind during the process?"

You can walk away at any time before signing the SPA, subject to any exclusivity agreements (which typically have 4–8 week terms). After signing but before closing, the SPA may contain conditions that must be satisfied — if they aren't, either party can terminate. However, walking away has costs: adviser fees incurred (which you bear), reputation with potential future buyers, and team disruption (employees who knew about the process will be unsettled).

"How do I find the right PE partner?"

Look for:

1. **Sector experience** — have they invested in your industry before? Do they understand the business?
2. **Geographic presence** — do they have an office or team in your region? PE oversight requires regular face-to-face interaction
3. **Track record with founders** — ask to speak with previous sellers. Were they treated fairly? Was the experience positive?
4. **Value-add capability** — beyond capital, what do they bring? Industry contacts? Operational expertise? Digital transformation capability?
5. **Cultural fit** — you'll be working with these people for 3–5 years. Do you trust them? Do you like them?

The best PE partnerships feel like the founder gained a strategic co-pilot, not a boss.

Recommended Reading

Books

- *Private Equity at Work* — Eileen Appelbaum & Rosemary Batt. A balanced academic examination of PE's impact on companies and economies.
- *King of Capital* — David Carey & John E. Morris. The Blackstone story — the definitive narrative history of modern PE.
- *The Masters of Private Equity and Venture Capital* — Robert Finkel. Lessons from founders of the industry's leading firms.
- *Barbarians at the Gate* — Bryan Burrough & John Helyar. The classic account of the RJR Nabisco LBO that defined an era.
- *Investment Banking* — Joshua Rosenbaum & Joshua Pearl. The technical reference for valuation, LBO modelling, and M&A.

Industry Resources

- *Invest Europe* (www.investeurope.eu) — European PE industry data, research, and policy
- *Preqin* (www.preqin.com) — global alternative assets data and analytics
- *PitchBook* (www.pitchbook.com) — PE deal data, fund performance, and market research
- *ILPA* (www.ilpa.org) — Institutional Limited Partners Association standards and best practices

Baltic-Specific

- *Lithuanian Private Equity & Venture Capital Association* (www.vca.lt) — local market data and events
- *EstVCA* (www.estvca.ee) — Estonian VC and PE association
- *LVCA* (www.lvca.lv) — Latvian VC and PE association

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